

META PLATFORMS INC META

June 27, 2022 - 2:27pm EST

by

aquicap

2022 2023

Price:	170.00	EPS	11.67	13.96
Shares Out. (in M):	2,858	P/E	14.6	12.2
Market Cap (in \$M):	485,860	P/FCF	19.9	15.7
Net Debt (in \$M):	-44	EBIT	38,007	45,465
TEV (in \$M):	442	TEV/EBIT	11.6	9.7

Description

Meta Platforms (META) \$170

Meta Platforms offers an unquestionably high quality business at a compelling valuation. The company is expected to deliver \$38b in EBIT on \$125b in sales in 2022 and is currently valued at \$442b for the enterprise or under 12x TEV/EBIT for a company that has massive scale, is growing at 2x GDP, has 80%+ gross margins, and relatively low capital intensity. META trades at 14.6x 2022E GAAP eps before subtracting excess balance sheet cash, while the S&P 500 trades at 17x 2022E earnings.

There are five primary reasons that META has sold off -55% from its peak last fall. I believe that all five reasons should pass without permanently impairing the value of the business.

Metaverse/Reality Labs - META has been investing significant sums of capital into developing the metaverse. \$10b in 2021, and an estimated \$15b in 2022, and \$16b in 2023. This has spooked the market for two reasons. First is the obvious concern about such an expensive investment program with an uncertain payoff. Second, is the concern that the need for this investment is because META is dependent on platforms it doesn't control between themselves and their users - such as Apple. The metaverse offers an opportunity for META to create their own platform for users to access directly. While these are valid concerns, there is reason to believe that META has significant control over how it allocates capital, has a strong track record of excellent capital allocation (whatsapp & instagram), has a founder that has a significant ownership interest plus pride at stake, and ultimately the business will exist with multiple paths to users including Oculus, iOS, Android, MacOS, and Windows.

While its too early to predict how the metaverse will evolve, if META is able to make the metaverse into just a compelling gaming platform, given the size of their user base, it's not too much of a stretch to imagine it being worth \$50-100b+ in the future.

Competition - Every generation finds its own ways to connect. Facebook Blue matures and the user profile skews older. Instagram is how the under 40 crowd communicates, and the next generations are on TikTok. It's always been a competitive landscape and META has incorporated lots of the means of engagement of Snapchat and TikTok into instagram. Facebook has a solid track record of adapting to a highly competitive environment. While it probably does not have the ability to acquire competition as it has done in the past, it can still replicate and incorporate features of its competition in its own offerings and its scale and balance sheet strength give it significant competitive advantages

Apple - Changes in Apple's iOS platform to protect user privacy have impeded META's ability to track user behavior across sites using the Facebook Pixel. This had the immediate effect of lowering conversion rates and increasing costs to advertisers. However, the impact of this has softened over time. Facebook simply has enough scale and presence to collect user data, some users will opt-in to sharing, and advertisers will change the structure of their ad campaigns to adjust. Facebook remains the single most effective platform for advertisers.

Regulation - There are always headlines about regulatory risk. META is in a strong position to weather these storms for several reasons. First, the issues at hand are relatively complex and would likely involve new laws being passed or a new interpretation of current law in a court setting. Neither is easy. Second, META has the ability to represent itself effectively. Finally, some businesses are inherently resilient. Having watched Mastercard and Visa over decades, each faced legal challenges to how they ran those businesses that at the time, many thought would fundamentally erode the quality of those businesses. That was incorrect as each time, the companies found ways around whatever roadblocks were put in their way. I think META has the scale and the user base and offers services that people fundamentally want and have become conditioned to need. It is very hard to regulate away such a business.

Market - The shift in the stock market that began last fall first took down the high flyers, the pandemic cinderella stories. Recently, it has shifted towards the generals, driven in part by fund flows out of SPX. It may continue for some time, who knows, but it doesn't impact or reflect the value of the business and, this too shall pass.

Ultimately, I see that the reasons to be cautious on META have been more than priced into the stock at \$170. While it is not growing at a rate that it was a decade ago, it is a formidable business with a fortress balance sheet. Few companies are even in a position to spend \$50b-60b over four years on a new product. Fewer still can finance it out of cash flow. Right now, the market is offering up a fantastic business at an absolute bargain price as well as one being substantially below market on a relative basis. This discount cannot be expected to last forever. If Reality Labs works, investors will benefit. If it doesn't, the spending will be curtailed, and investors will benefit. If the market remains volatile, quality businesses like META should shine. If the market rebounds sharply, META should do well on the back of all the index fund inflows alone. If the market simply stabilizes and time passes, META should be able to deliver low double digit earnings growth for years to come.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Evidence of results from Reality Labs. Results show waning impact of Apple iOS changes. Investor sentiment changes. In the meantime, you own one of the world's great businesses at a very attractive price.

Messages

Subject questions
Entry 06/27/2022 06:32 PM
Member rjm59
 thanks for posting

1. you cite whatsapp as successful M&A, how do you frame the success financially of that outcome?
2. what is the financial framework for what you think Oculus/Reality Labs will be worth in 5-10 years? (\$50-100b how?)

Subject Terminal value
Entry 06/28/2022 07:48 PM
Member sancho

I'm surprised you seem to perceive the legacy Facebook and IG businesses as steady Eddy or even growthy businesses.

I believe many of us are concerned about the durability of those 2: FB for instance is getting killed by TikTok. I have no idea whether the next generation will keep using FB.. I find it much easier to underwrite the relevance of Google 20 years from now than I do for Facebook or IG. Maybe the fact that Zuck is spending \$15bn/yr trying to develop the metaverse speaks to how he also shares these concerns?

Subject Re: Terminal value
Entry 06/29/2022 10:39 AM
Member SpocksBrainX

FB for instance is getting killed by TikTok

just curious, but what exactly does this mean - do you have independent data beyond the company's own comments to confirm this? And is this comment true overseas as well? And does ByteDance provide financial data too, so this can all be verified? any help appreciated

Subject Re: Re: Terminal value
Entry 06/29/2022 11:59 AM
Member sancho

Bank of America has a good industry report 18 April laying out how TikTok time spent online is surging, at the expense of others including FB/IG, PINS, SNAP. Talk to any teen in the US and you will get anecdotal confirmation.

Cleveland Research on 27 May estimates Facebook is going to lose 5% advertising wallet share in 2022 vs 2021, mostly to TikTok.

Broader and more important point: I have no idea whether TikTok is the long-term winner or not (I don't even know if there can be a permanent winner here?) - but Facebook and Instagram are clearly at risk of being displaced/disrupted.

Subject Re: Re: Re: Terminal value
Entry 06/29/2022 01:56 PM
Member JohnKimble

TikTok certainly takes away time from everything else including FB and Instagram. Zuckerberg (in the context of justifying the Insta acq) talked about there being a finite number of "social mechanics" where being early to them is important to winning because of the network effects. He may be too late to combat TikTok with Reels, but I think there could be a few mitigating factors. First, the TikTok social mechanic is different enough from Instagram where it might not be a direct competitor. For example, I've found that many TikTok users have few/zero followers themselves, and their follows mostly don't include friends. Second, the nature of the TikTok (and Reels) social mechanic leads to more time spent following influencers and others with an economic incentive to create content. These content creators are incentivized to reach the most amount of people, so many of them post the same content on both TikTok and Reels.

On the margin TikTok is taking a piece of the advertising pie. Between that and the impact of a drop in spending by VC funded DTC cos, I wonder how large the impact will be on ad volume and prices for everyone. I'd be more worried about Alphabet, where recently everything has gone in its favor and where estimates for both sales and margins seem unrealistically high. Digital advertisers are mature now, so they probably won't grow through a recession as they haven in the past.

Subject questions
Entry 06/30/2022 07:59 PM
Member aquicap

thanks for the questions and comments.

re: whatsapp, I understand where you're coming from. It was an exceptionally expensive acquisition (\$21b at close vs \$17b at sign given the appreciation of FB stock) and the direct monetization of whatsapp has been modest. So measuring the effectiveness shifts to softer metrics. If you view whatsapp as an international messaging platform, having that asset, the users, and their data has significant value. Google had made an offer at \$10b, so keeping it out of your competitors hands has significant value.

The bigger question, and this gets to the tiktok conversation is that there are apps that get a lot of user eyeballs and time, but never effectively monetize (e.g. twitter). given that users hours becomes fixed as your user penetration approaches saturation levels, do you strategically try and dominate every app category you can even if those don't translate to revenues/profits, or do you cherry pick the ones that you think are most necessary to control and compete as best as you can against the rest. Snap hasn't really become a threat to Facebook, and while tiktok has user minute growth, it's not clear if that's going to be a great monetization platform either. the question for Facebook becomes that the best monetization platforms are FB Blue and Instagram and both are more mature properties with excellent economics but slowing growth.

Digital advertising is still very compelling from a cost/reach standpoint relative to other media and has the benefit of conversion tracking data that simply isn't available in other media. I wouldn't be surprised to see them grow during a recession although at a much lower rate than during the last recession. Facebook/instagram get a significant portion of that ad revenue, have deep relationships with the large advertisers and I believe that it's a much more durable business than most people think. FB/IG is also one of the lowest cost platforms vs. google adwords or youtube.

as for oculus/reality labs, if it ends up worth \$50b, it's a push as META is likely going to spend that much on the project over the next few years. Taking a cursory look at other gaming platforms: xbox, playstation, nintendo, etc. they have comparable values. I admit there's no precise science to this and it's way too early to tell what this will look like financially. My point was simply that there should be some expectation of a reasonable return or the project will be curtailed.

While there are certainly challenges , what makes this compelling now is that the valuation has compressed to the point where I'm arguing that most of those challenges have been priced into the stock.

Subject	Meta's flagship metaverse app is too buggy and employees are barely using it, says exec in charge
Entry	10/07/2022 04:14 PM
Member	mip14

<https://www.theverge.com/2022/10/6/23391895/meta-facebook-horizon-worlds-vr-social-network-too-buggy-leaked-memo>

Subject	Re: Meta's flagship metaverse app is too buggy and employees are barely using it, says exec in charge
Entry	10/09/2022 10:18 AM
Member	Shoe

It's been obvious how bad it looks and is for a long time.

It's looks 20 years old, near minecraft level sophisitation. Just look at any MMORPG or new video game these days. No where close

They should buy TTWO or something and get better developer and artistic talent and skills. It's clear, for now, the \$10bn spend is a massive waste

Subject	Re: Re: Meta's flagship metaverse app is too buggy and employees are barely using it, says exec in charge
Entry	10/09/2022 11:55 AM
Member	mip14

Incredible that VIC keeps pitching this as a long. It's the textbook example of a value trap and exactly what one should be looking for in a short. Rapidly melting ice cube where management is lighting your cash flow on fire

Subject	Re: Re: Re: Meta's flagship metaverse app is too buggy and employees are barely using it, says exec in charge
Entry	10/09/2022 02:28 PM
Member	Value1929

It's amazing to me that we continue to see this greater than thou speech from you, mip14. It's almost like the author of these posts has not written about the moats of Peabody Energy (prior to bankruptcy), Cars.com, Upwork, and even the cheapness of Kraft Heinz.

I think a little humility is required with investing & emotional stability to think clearly. It is a continual learning process and everyone in this game has made mistakes-- it is a constantly evolving learning process.

Regarding META, I think it is likely a big long here (digging in further over the weekend), it seems to me that price is dictating a lot of the narrative. The stock is priced for a Yahoo like implosion and I feel overall the business is substantially better than any analog to a Yahoo. One could likely make the case that if this was in PE hands this would likely be a multi-bagger in a few years. One has to wonder if running a handful of apps requires north of \$80B in costs, my hunch it doesn't require anything near that. And just recently we've gotten hints that spending might come down substantially (~ 15% of the workforce), along with anecdotal evidence from employees that almost every type of cost at Meta is being looked at in some fashion. Meta at 6.7x is cheaper on an EV/EBITDA basis than IBM, GM, MO, & around par w/ XOM--bottom line a lot is priced in here. Oh btw, you've got a big upcoming catalyst on Oct. 11th w/ Meta Connect, w/ a possible date for the new release of Quest 3 upcoming (which should incorporate micro OLED, or some version of significantly improved graphics-- alleviating some concerns around minecraft graphics). We've seen countless mega-caps at very low multiples when the skepticism was close to peaking, Apple, Google, & Microsoft and those all turned out to be huge winners over the long-term. Also fwiw, I think Meta along w/ the rest of the top % decliners in the QQQs are experiencing some major tax loss selling, most mutual funds have a fiscal year end of Oct. 31st & need to part ways with their biggest losers-- Meta being one of the biggest losers YTD falls squarely into that category. History also shows that forward returns in the next 3-4 months looks very promising.

I could certainly be wrong here, META has its share of major problems & headwinds, but my inclination is that so much of these things have been priced in and the fear/negativity is palpable.

Investing is hard, stay humble and best of luck!

Subject	Re: Re: Re: Re: Meta's flagship metaverse app is too buggy and employees are barely using it, says exec in charge
Entry Member	10/10/2022 09:13 AM tugger85

Man, 15 likes to that last post. Everyone really is long lol.

Subject	Re: Re: Re: Meta's flagship metaverse app is too buggy and employees are barely using it, says exec in charge
Entry Member	10/10/2022 10:44 AM SpocksBrainX

It's the textbook example of a value trap and exactly what one should be looking for in a short. Rapidly melting ice cube where management is lighting your cash flow on fire

you've been right and yep, my biggest loser this year, and likely my biggest dollar loser in a 30 year career.

heard a 'value investing with legends' podcast recently (what a scary podcast to appear on given the way karma works) when they profiled some of Sequoia's managers (not sure when it was); it all sounded very impressive but a quick glance at Morn's category rankings revealed a different tale - 78-93-93-99-90 over 1-3-5-10 and 15 years (100 is dead last). It is enough to make you question, for the umpteenth time, the value of active management...saw David Dreman's book in the library recently too - he of the ~89% NAV loss in a closed end fund in 2008-2009 (not sure - might have been ~86% or so). Humbling biz doesn't begin to describe it...

Subject	Re: Re: Re: Re: Meta's flagship metaverse app is too buggy and employees are barely using it, says exec in charge
Entry Member	10/10/2022 11:15 AM mip14

I think Zuck's incentives here are very important. IMO his goal isn't to maximize the PV of FCFs i.e. runoff - it's to make sure FB is still a relevant company in 10 years. So even if that's the lower expected value outcome, he is going to go down swinging

Subject	Re: Re: Re: Re: Meta's flagship metaverse app is too buggy and employees are barely using it, says exec in charge
Entry Member	10/10/2022 01:51 PM NPCComplete

All it will take is a TikTok ban for META to be up 30%. Zuck could decide to stop wasting money on Meta and all the science projects at FB, which should also help with sentiments. But TikTok is a really problem. 1.5 hours/day per user in NA and rapidly making inroads into older demographics. There are only so many hours in the day a person can spend on social media.

Subject	Re: Re: Re: Re: Re: Meta's flagship metaverse app is too buggy and employees are barely using it, says exec in charge
Entry Member	10/10/2022 02:14 PM mip14

Today it's TikTok, and tomorrow it's BeReal. These ultimately aren't durable businesses (unless they have another non-social purpose like LinkedIn / Twtr)

Subject Meta Connect
Entry 10/12/2022 03:46 PM
Member pcm983

Any thoughts? Seemed like kind of a dud to be honest. I have a hard time seeing anyone legitimately wanting to use this product.

<https://www.nytimes.com/2022/10/07/technology/metaverse-facebook-horizon-worlds.html>

There was a long-form in the NYT about it and frankly something that makes you nauseous in order to lay on your bed and interact with strangers doesn't sound compelling. It feels like a solution in search of a problem to me. The part I find confounding is Zuckerberg has historically rarely missed on his big bets - that said, perhaps here he got caught up with something he found compelling that perhaps the average joe does not. The core value prop of social media is no longer about connecting with others - it's now mostly about fun ways to kill time or ignore your to-do list - that's it. The best apps that do that are just going to continually become simpler and simpler. I have a hard time imagining folks strapping into their oculus to kill time...

Subject Re: Meta Connect
Entry 10/12/2022 04:09 PM
Member jgalt

Oculus is incredible. I've tried / owned every version since inception. The sense of presence is real and cannot be described, it has to be experienced. It is NOT like looking at a screen, it's visceral.

HOWEVER, yes this Pro headset is a dud and V1 for enthusiasts only. All the \$10 bn+ expended in this effort so far does not move the needle for Meta and will take a while before it does.

I question the enterprise angle with Microsoft, too. I think Microsoft wins much more than Meta.

Meta isn't making money on the hardware. And the company has pulled the plug on every single initiative that isn't monetized via engagement & ads (recently they canned Bulletin, their Substack competitor).

So I am doubtful that they will suddenly grow this enterprise business. They even have a very successful enterprise collaboration app nobody knows about, run by a guy from Microsoft, and I thought they would blow that up and make it big but they haven't (Workplace).

Subject Re: Re: Re: Re: Re: Meta's flagship metaverse app is too buggy and employees are barely using it, says exec in charge
Entry 10/16/2022 08:38 AM
Member Hastan

TikTok is levelling off though... DAUs haven't grown in a while. Plus the whispers definitely are that a big crackdown on Bytedance is imminent. TikTok is a major national security problem for the US and bilateral consensus on that is accelerating. Even a divestment would be great for Meta as they are heavily reliant on AI from parent and all BD's top AI people are in China. I bought a big position in Meta last week reasoning that it's super cheap on peak FoA earnings (5x) even if short-term that drops off, it's still by far the best way for businesses to reach consumers, plus odds of good short-term news on TikTok/Apple/RI is getting higher every day. I'm pretty tentative on putting on extra long exposure considering the environment and lack of hedging options anywhere but this is worth the bet.

Subject Re: Re: Re: Re: Re: Re: Meta's flagship metaverse app is too buggy and employees are barely using it, says exec in charge
Entry 10/16/2022 11:31 AM
Member lightspot

Hastan, do you have a source link to share on TikTok's DAU?

Subject No FCF - SBC next year?
Entry 10/26/2022 04:22 PM
Member mip14

If META spends \$34-39bn in capex next year and OCF is ~\$45bn with \$10bn in SBC juicing the numbers... there is no true FCF next year.

Thoughts from bulls?

Subject Re: No FCF - SBC next year?
Entry 10/26/2022 04:41 PM
Member WinBrun

I am not going to speak for the bulls--but a question to you:

1-what are they spending the cap-ex on and do you think it matters what they are spending on?

Subject Re: No FCF - SBC next year?
Entry 10/26/2022 04:45 PM
Member SpocksBrainX

if META spends \$34-39bn in capex next year and OCF is ~\$45bn with \$10bn in SBC juicing the numbers... there is no true FCF next year.

the hopeful analogy would be, as an example, restaurants which are growing which take all their cash flow and plow it into new units and tech and remodels and at some happy point in the future you get a glimpse of a better business model when CapEx slows down a little or a lot. Course, at the rate of the fire burning here, nobody believes anymore. You would think they would care that the SBC drop will hurt with recruitment? retaining people? something? I don't know anymore.

Subject	Re: Re: No FCF - SBC next year?
Entry	10/26/2022 04:47 PM
Member	mip14

Great point. I can kind of understand the unit box economics of a CMG or a FND.

But can you tell me the economics of this?



Thats the problem...

Subject
Entry
Member

Re: Re: No FCF - SBC next year?
10/26/2022 04:48 PM
NPComplete

But FB is NOT growing. It will also lose market share to TikTok. it is inevitable. Time spent on Tiktok is still growing vs monetization (1/10th of FB). The bull case on FB is all around opex rationalization. And maybe they can stabilize the business at a lower revenue level. Or IDFA goes away and Apple us forced by the FTC to open up IOS.

Subject Re: Re: Re: No FCF - SBC next year?
Entry 10/26/2022 05:03 PM
Member NPComplete

MIP14 you are not a tech investor, and hence the question. If people looked at tech companies with the same lens as Oil Rigs, almost none of the wonderful tech companies that are not collectively worth Trillions would have been funded. Tencent's first big hit was a game with virtual penguin pets. People bought clothes and food for their virtual pets using real money. It made zero sense to me. But the numbers were great, the management team was fantastic and there were a hundred things they could do. So I bought the stock, sold it for a 100% gain a few years later, and patted myself on the back only to see the stock go up 20x (we made some more along the way but def not 20x). My Gut tells me that Zuck's vision for Metaverse is silly and he got lucky with FB (which was a copy of the platform that Harvard Business School used in those days called Class cards). Markets put the "visionary" sign on all successful entrepreneurs - and discount the role of luck). But who knows? Maybe he is a visionary and we will all be living in his metaverse.

That said, FB's capex is a mystery to me as well. I owned FB from IPO until last year when the IDFA/TikTOK threats made me blow out of it. With Google, it is easier to see where the CapEx is going. I don't understand why FB needs so much CapEx to run its business. It has three simple products (Insta, Blue App + messaging (messenger/whatsapp). The compute resources needed should be proportionate to time spent, and aggregate time spent is not growing materially. Their Capex level stopped making sense to me in 2018/2019 and is now completely beyond my comprehension.

Subject Re: No FCF - SBC next year?
Entry 10/26/2022 05:08 PM
Member Flaum

Not a bull, but think the big issue here is the opex guidance for '23 implies 14% yoy growth, well ahead of expectations and implies that GAAP EPS will almost certainly be heading lower (need north of 14% top line growth given additional FX headwinds into 1H23). The guide for 4Q implies ~1% ex FX growth and even with easing comps you're probably looking at MSD/HSD top line growth in a reasonably good scenario for the Company (insert your view of macro). On first cut, based on the 4Q guide and the '23 cost guide of \$96-101bn, I'm penciling to '22 GAAP EPS of \$9 and '23 GAAP EPS of \$7.60 (based on 6% topline growth inclusive of the 1H23 FX headwinds). I've inserted my view of macro impact to top line, offset by easier comps and some improvement idiosyncratically on reels. With the stock down to \$111-113 after hours, that implies it's trading at ~14-15x '23 GAAP EPS which feels 'fair'. The only bull case you could point to from here is that there should be some real capitulation tomorrow, and excluding Reality Labs you're maybe getting a decent deal on the core business. I nonetheless find it tough to underwrite that bull case if they're continuing to plow ahead with 14% opex growth when they're barely growing organically... I would have liked to see opex declines. Just my humble 2 cents from the sidelines, so would also love to hear from bulls.

Subject Re: Re: Re: Re: No FCF - SBC next year?
Entry 10/26/2022 05:16 PM
Member mip14

I am a tech investor. Being short (and one day long) classifies as being a tech investor. Value **INVESTORS** Club includes **shorts**. Btw, I am more gross short tech than anyone here (as far as I know) is gross long. No need to get personnel (insert jgalt pyramid).

Back to the company:

Zuck could literally pause this project and say he will instead fund every seed, Series A, Series B, Series C virtual world start-up for the next 20 years. The amount of money this mgmt team is pissing is astonishing. I have nothing against investing in promising tech.

Look there is a probability it works (there is a probability for anything) but the cash out and ROI math suggests he is either a genius seeing a high probability trillion dollar TAM or he is panic'd his core business is a donut and needs to pivot.

Subject Agree with mip on 2023
Entry 10/26/2022 05:29 PM
Member BigbetBarmouth

2023 math- what am I missing

127bn consensus revenue. (Probs too high)

100bn of expenses

= ~27bn on GAAP EBIT

+ 7bn DA?

- 37bn capex

= -3bn fcf

bulls keep saying this is a value stock and a cash machine. Are we moving the goal post once again ?

Subject —
Entry 10/26/2022 05:41 PM

Member
if u secretly love mip's trolling, thumbs up this msg

kerrcap

Subject Re: Re: Re: Re: Re: No FCF - SBC next year?
Entry 10/26/2022 05:58 PM
Member mm202

One of my LPs is a former top single digit exec at FB. I asked him once if Zuck really thought we'd all be in the metaverse etc. He said, unlikely Zuck believes that and that his main goal is to get out of govt crosshairs by changing narrative and to create a generational shift away from mobile phone (apple, goog, etc) hegemony. No position here, just passing along thoughts (from March convo) from someone who has worked with Zuck since 2007. I don't know whether the CapEx ROI can be measured against those goals.

Subject Re: Agree with mip on 2023
Entry 10/26/2022 06:03 PM
Member majic06

"2023 math- what am I missing

127bn consensus revenue. (Probs too high)

100bn of expenses

= ~27bn on GAAP EBIT

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= -3bn fcf

bulls keep saying this is a value stock and a cash machine. Are we moving the goal post once again ?"

I don't own META and have literally never owned a FANG stock in my entire life. That said, this is pretty intellectually dishonest.

So much of the opex and capex is on a completely UNRELATED business to the business with the revenues - nothing to do with FB/Instagram/WhatsApp. It might be lighting money on fire but to say the consolidated financials are somehow representative of the "value" the Bulls see is just not fair. I have no idea whether FB/Instagram are melting ice cubs or whether the Metaverse ever makes a single dollar. But they are distinct entities and the financials should be distinct.

But Zuck just said today to the markets "leave me the fuck alone I will do whatever I want and expect all cash flow to be put back into my pet projects". Worked for Amazon for 20 years so he thinks it will work for him. Also he just doesn't care.

Subject Re: Re: Agree with mip on 2023
Entry 10/26/2022 06:17 PM
Member BigbetBarmouth

Majic how am I being intellectually dishonest I am presenting the facts about the consolidated business which is what you get as a shareholder. If you want to value the company on a sum of the parts for core + reality labs can you please come up with a realistic value for what you expect reality labs is worth?

Subject Re: Re: Re: Re: Re: No FCF - SBC next year?
Entry 10/26/2022 06:19 PM
Member Rulon Gardner

Too bad he doesn't have any goodwill with the US government given all the previous shenanigans at FB. That could've increases the odds of the US banning TikTok if Zuck had a bit more political capital.

Subject Re: Re: Re: Agree with mip on 2023
Entry 10/26/2022 06:21 PM
Member majic06

"Majic how am I being intellectually dishonest I am presenting the facts about the consolidated business which is what you get as a shareholder. If you want to value the company on a sum of the parts for core + reality labs can you please come up with a realistic value for what you expect reality labs is worth?"

Bulls value it at 0 or negative and think you're getting the core biz for 10x FCF.

Again, I don't own this! Have never owned it! Will never own it. But that's the thesis here. Of course, at \$210 it was "only 20x FCF for the core business!".

Subject Re: Re: Agree with mip on 2023
Entry 10/26/2022 06:25 PM
Member rookie964

I think your #s are too high. When you look at the fx exposure into next year and the decel, its more likely they do at or below \$110B (i.e. flattish organic rev growth). I am getting closer to -\$6B of FCF and \$4/sh of earnings (ex SBC) which let's be honest is a real expense.

I also agree with mip. This cost guide is disgusting.....Tech companies literally do not understand what cash flow is. Like the oils, they have been taught to drill baby drill.

Subject The Bull's Take
Entry 10/26/2022 08:22 PM
Member Wrangler

In hindsight I should have ran for the hills when they renamed the company META. Stepping this up to what looks like probably \$16-18bn of losses next year is insane. You increasingly have to believe the Metaverse won't be wasteful spending or that Zuckerberg will ratchet the spending down in 5-10 years if it's not generating revenue. The latter is harder to believe when Zuckerberg uses terms like "historic" to describe the efforts.

That overshadows what I think was positive incremental disclosure on the core business. Time spent in the U.S. is up YoY on both FB and Instagram. Clearly it is not a melting ice cube in terms of engagement. The capex spend I'm fine with, there's no way they need to spend \$37bn/year to run the business. Putting a multiple on FCF using that # is silly. Unfortunately the ramp in capex is happening at the same time as you have a huge FX headwind, unknown targeting headwind, and unknown macro headwind. So right now it looks like there is no ROI on the capex spend, but I find that very hard to believe.

I thought the commentary on core expenses was actually pretty good. Keeping headcount flat (or slightly lower) over the next 15 months is a good start. Since that obviously includes a lot of Metaverse employees, they're basically cutting staff in the core business. I highly doubt in Q4 2023 they're going to ramp hiring unless the macro changes materially, so I'd think margins will expand in 2024 even without improvement in the ad market. The core business probably does \$115B in revenue on \$80B of expenses, so call it \$28B of NOPAT in 2023. Throwing away 60% of that on the metaverse. One day the operating leverage will work in the right direction with margins this slim and starting from a bad ad market. Unfortunately that one day keeps pushing out.

Long story short, I'm a conflicted bull. Hearing the word "historic" a few times on one call to reference a \$16bn cash burn is hard. On the other hand, (1) maybe he'll be right; I can certainly imagine possible high value use cases and (2) more importantly, the core business is worth multiples of this price. As long as metaverse burn doesn't grow from 2023, I think it's a reasonably priced business (having now lost a quarter of it's value today) assuming they just piss away \$16bn/year forever.

Besides the metaverse, the biggest thing that I got wrong was the revenue trend. I expected revenue to start growing double digits again once we lapped IDFA and obviously that's not happening. I still think it's likely that is mostly cyclical but we won't know for a couple of years.

Subject Re: The Bull's Take
Entry 10/26/2022 09:57 PM
Member lightspot

I'm I the only one that thinks META will have declining sales in 2023? I just don't understand how they will grow ad revenues on a year where the whole world is going into a recession at the same time that TikTok is fiercely pushing their e-comm features?

Subject Re: Re: The Bull's Take
Entry 10/26/2022 11:09 PM
Member Flaum

That's the 'insert your macro view' into the equation component. It's important to keep in mind: 1) they are guiding growth in q4 to +1pct ex fx on a 10pct '21 comp despite all of the headwinds we know about (idfa, tiktok, macro), 2) comps become v easy in '23 so just rolling forward typical seasonality on the current trajectory would point to positive ex fx growth, 3) FX comps turn from a headwind to a tailwind in 2H '23 to extent you think USD is peaking, 4) some of the idiosyncratic headwinds of IDFA and reels monetization will potentially turn into tailwinds as they lap the hardest parts of these changes. Personally I think top line is some probabalistic distribution that is -MSD to +HSD/LDD depending on macro and these aforementioned factors. What kept me on the sideline was that I expected cost growth of 10pct+ in '23 and they guided to +14pct making it virtually impossible to grow EPS in '23. I am assuming +6pct top line growth as a 'base case' and 7.50 of gaap eps when rolling through their cost guidance.

Long winded way of saying, yes, negative growth is reasonable part of distribution, but there are also v plausible ways to point to +SD growth as well. What's v unlikely after todays call however is for EPS to grow in '23 due to the opex growth, which is why we'll see a lot of capitulation tomorrow. There is a case to be made for '24 inflection given hiring/costs will be contained (flat personel in '23) and they talked about EBIT resuming its march higher, but obviously it's too early too care about that, and we need to get more comfort on the 'base line' for where macro pushes top line in '23 and if the eps trough is \$6/\$7.50/\$9, etc. At least that's how im thinking about it, IMHO of course.

Subject Re: Re: Re: The Bull's Take
Entry 10/27/2022 10:23 AM
Member lightspot

Take a look at the bigger picture. In 2019 digital advertising industry generated \$319bn in global sales. In 2021 it did \$474bn and in 2022 is going to be ~flat. That means we are still \$155bn higher than pre-covid. Do you think that sustains in 2023 recession? META grew share during covid we all know why, but in 2022 it's flat or losing < 100bps, which is actually quite remarkable given all the headwinds. But how do you grasp the idea that META can have growth revenues in '23? Yes at some point FX becomes a tailwind but it's not going to happen in '23 is my guess.

I'm not trying to be a bear here, I'm rather a wannabe bull. I'm quite shock with the expenses outlook. Either Mark is very right and we are all dumb, or this became a huge ego thing for him and he can't admit he is just wrong. Mip is correct that \$20bn in annual spending for the metaverse is insane. I own an Oculus, and is cool and everything but no way on earth that thing gets me excited. He could be funding the entire AR/VR space every year for even half that amount. Meanwhile, you have TikTok who is pushing e-comm really hard and they have a playbook that already generated \$100bn in GMV last year in China, growing 300% y/y.

Subject Reason for capex
Entry 10/27/2022 10:36 AM
Member jgalt

I don't own the stock but owned it for several years in the past and follow the company closely.

Zuck has talked (in 2019) about adding more datacenter capacity than AWS + GCP and the reason is to run machine learning training/inference models to rank content, recommend, etc.

Now of course the workloads have expanded to rendering photo-realistic avatars, doing concurrent interactions in a future metaverse, etc.

This is the reason for the capex: they are betting/investing on a future where they need more computing power than just about anyone else.

Look at their research/announcements into building supercomputers, and the AI/ML talent that they have accumulated at the company.

I am not long the stock because I think the competitive pressures are extreme, with TikTok taking share, Apple [f@#ing](#) them repeatedly (Apple just introduced yet another 30% tax on promoted posts), and of course this massive investment in capex AND opex into a very uncertain future.

Very uncertain because think about this: Reels still monetize at a fraction of feed. Now they have to deal with Shorts to counter TikTok and that's another multi-year ramp to get monetization up to par with Reels let alone feed.

On top of that they lost massive signal because of IDFA, and have to invest \$ billions in ML to rebuild their ad stack to recover some of that signal. Unclear if they will ever recover the full signal.

Finally, how the hell will they monetize the metaverse? Probably ads; that's how they monetize everything.

How long will it take to get "metaverse ads" to monetize anywhere close to Reels, Shorts, Feed?

Unclear: barely anyone even has a VR headset.

For all of this to work, all of these IFs have to be resolved. IF there's huge uptake of VR headsets; IF people start using Meta's metaverse; IF they can put ads in there that work, attract advertisers, prove ROAS...

This is a massive multi-billion dollar bet with VERY unclear path to profits.

Subject Re: Reason for capex
Entry 10/27/2022 10:56 AM
Member NPComplete

FB capex is nuts. It was nuts in 2019 and has gone nuttier every year that has gone by. The incremental return on capex is negligible. Does anyone find their feed any better than 2019? And training models cannot possibly need that much hardware. GPT3 was trained using \$20-30M of AWS time. Inference (once the model is done) requires on going compute capacity but even that shouldn't be large. My best explanation for the crazy Capex is the perverse incentive system FB/Meta has for developers who are evaluated based on the "number of lines of code" that they write, rather than efficiency and output. In my coding days, I wrote over 350K lines of code in C, but every line was written with performance in mind. We didn't get evaluated on the number of lines of code written but on transactions per second that the system we built could support.

Subject Re: Re: Reason for capex
Entry 10/27/2022 11:01 AM
Member jgalt

What's missed is the one-time training cost of GPT3 vs. the CONSTANT, REAL-TIME retraining of these models.

They're not trained once and then deployed for inference. They're trained and retrained billions of times a day as UGC and actions/reactions of users feed back into the models.

GPT3 is language only. We're talking images, videos, renderings.

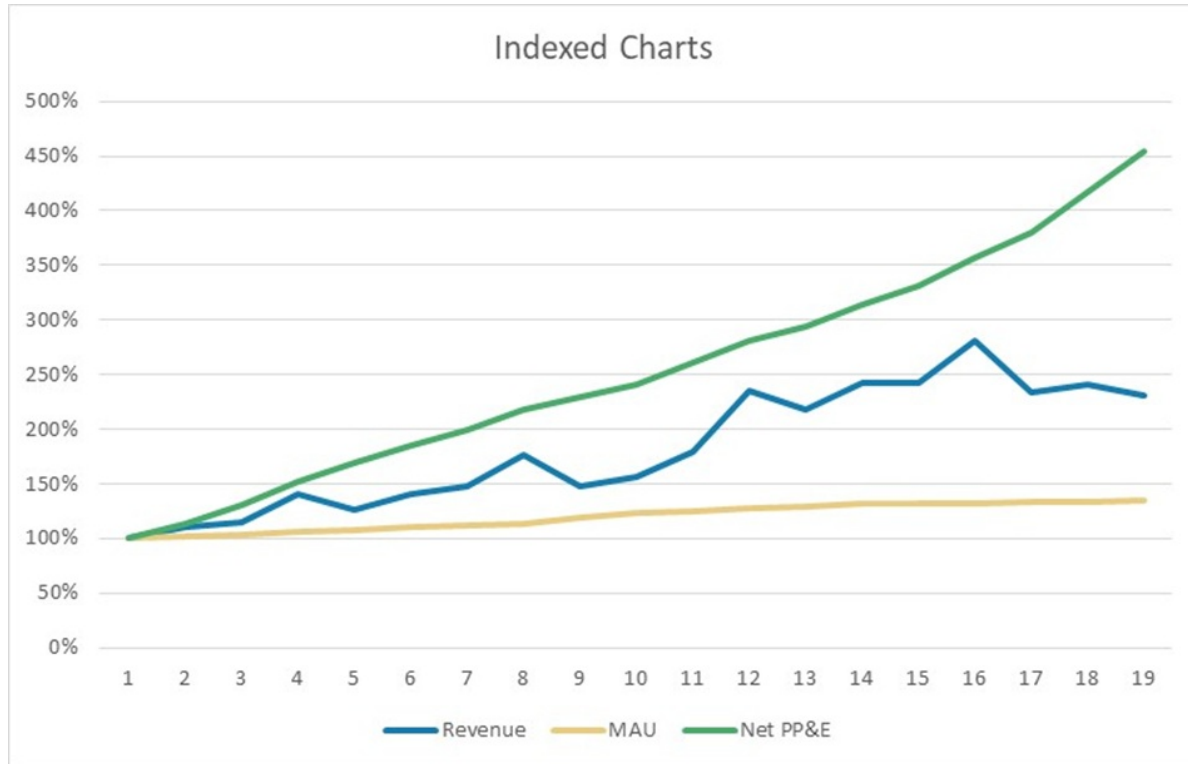
And then of course there's the compute needed to run this real-time metaverse with photorealistic graphics.

Subject Re: Re: Reason for capex
Entry 10/27/2022 11:10 AM

Member

NPCComplete

I didn't miss the cost of ongoing training... MY point was that the cost of training is not very high. A few billion would suffice. Look at this chart and you will see that something is just way off. And most of this Capex is not tied to Metaverse (it is not in production). Keep in mind that the core apps should use compute power that is literally tied to the total time spent which has not grown much (10%/year or so). I think this company is supremely mismanaged. Another way to think about the business is that revenue/min of time spent has gone up through better monetization, but the cost/minute should have stayed last or declined (processing power generally costs less over time). I can't fathom what these guys are doing. Google's capex intensity has gone up but that is easy to explain. Core search is a 65%+ ROIC business but GCP will eventually be a sub-20 % ROIC business. Their new businesses are inherently less capital efficient (though still very attractive).



Subject
Entry
Member

Re: Re: Reason for capex
10/27/2022 11:12 AM
rookie964

I get it and have been a bull in the past. I recall the spending bump post Cambridge Analytica and have always thought this business was structurally underearning. While I still believe this business should have higher margins than GOOGL due to the TAC, EBIT margins are looking to be around ~10% next year on my "soft landing" numbers. I cannot think of a public company that has doubled revenue over 5 years while EBIT margins drops ~4,000bps. Simply put, META has become one of the most capital intensive businesses I have ever seen.

There was a line on the call about keeping expenses beyond 23 in line with revenues, which in itself could be viewed as constructive. However, I also recall the same commentary when spending ramped in 2018. At this point, I think META should be laying off 75% of its staff and focusing on digitizing the processes that have monetized this business for so long.

As per 2023, I am assuming a little under \$110B in revenues but I tend to agree I think there is significant downside risk to this number. It's not crazy to think we get a recession, revenues come in around \$100B and this business burns >\$20B next year. Net net, where should a stock that does \$3.35/sh in earnings trade in the event of soft landing (not recession). Even giving it 25x, you end up around \$85/sh.

Subject Re: Re: Re: Reason for capex
Entry 10/27/2022 11:19 AM
Member Light62

>rendering photo-realistic avatars

>metaverse with photorealistic graphics

Eh...? We must not be looking at the same product.

Subject Re: Re: Re: Reason for capex
Entry 10/27/2022 12:22 PM

Member jgalt
 watch the keynotes - i'm talking where it's going, not where it's at today (on photorealistic avatars)

Subject Reality Labs Spending Duration
Entry 10/27/2022 12:51 PM
Member honeycreek

In a SOTP, how long do bulls assume the RL losses continue? -100 bn, or 20m of losses for 5 additional years, would be reasonable, but he seems so dedicated to this pie in the sky vision that I have no confidence that he will ever stop spending. Changing the company's name and talking about the "historic" work makes me think that these losses should be capitalized. He has too much commitment bias / overconfidence from past success.

Subject Apple
Entry 10/27/2022 01:58 PM
Member jgalt

One more thing...

I think Apple is in pole position to build a kickass AR/VR headset

They are the GOATs of hardware/software integration, not Meta

They have the entire supply chain at their disposal and expertise in building custom silicon

It is quite possible that Zuck's investments fail to win him the next computing platform and that a lot of people will access his metaverse from inside an Apple headset and be subject to Apple's rules and regulations and 30% tax and IDFA and everything else that comes with it.

Subject Re: Reality Labs Spending Duration
Entry 10/27/2022 02:01 PM
Member JohnKimble

An argument against the spend being this high for 5+ years is that its not like a drug pipeline where you basically don't know the outcome until the end of the process. What happens if the Quest Pro and the Quest 3 (and perhaps a Quest 4) flop in the next two years? I think it would be increasingly hard to justify the spend (even though he controls the thing and can actually do whatever the f he wants). In 5 years and a few product cycles will he keep going if the effort is clearly a failure? I'm not sure what historical analogies we have at this scale. We could trot out examples like the Apple Newton (viewed as the logical progression of computing but proved to be too early), where I think development happened for 5 years, but idk if its a good comparison.

Subject Too cheap to ignore?
Entry 10/28/2022 10:03 AM
Member Motherlode

what am I missing?

META trades at 4.3x 23 EBITDA of \$50bn (freshly underwritten after 3q). Company has a \$15bn of net cash. Now – I can see how there is risk to 23 EBITDA but it is worth mentioning that the only reason 2023 EBITDA didn't go up a ton today is because they are adding \$9-16bn to their \$85-87bn of annual opex to invest in META. Their core business is working well in this advertising environment. User engagement was up LSD/MSD across the board. Revenue was down 4% but ex FX it was actually up LSD. This is despite the fact that advertising prices are -18. So with modest user engagement growth – they were able to amplify the platform to create demonstrably more advertising impressions per use and basically offset an epic decline in advertising prices. In a nutshell, they are performing well given the cyclical decline in advertising demand. The issue was the announcement of \$9-16bn more OPEX/year and \$5bn more capex. It's worth mentioning that opex/capex is up a lot already for META in 2022. Investors were hoping for lower opex and lower capex in 23. As such, the surge in these expenses is why this received such a violent and visceral reaction by the market today - especially in the post Free-money paradigm we are in.

I think the right way to look at this is the following. You have the core biz and the Meta investment. What is the core biz worth?

In theory, the core Family of Apps would be doing \$75bn of EBITDA next year with \$15-20bn of capex if not for metaverse/reality labs. If so, the stock is probably worth \$300+/share without META at a 5% ULFCF yield which seems conservative given the crown jewel assets (IG, FB, Whatsapp). This corresponds to 10.0x EBITDA which strikes me as pretty interesting given that 23 advertising demand could very well be trough. Said differently, at today's valuation META seems to have a -\$200/share impact on the stock. This seems like an absurd assumption as it means they spend at current levels for a decade or more with **0%** chance that anything comes out of it.

Other positives:

1. At this valuation, we need numbers 23 to be cut officially to see much downside?
2. Zuck needs a better stock to get this to work as his employees are all very long. Does the company take this slash to the stock and make adjustments to the cost structure?
3. Could we see a TikTok ban?
4. Company could probably get a bit more aggressive with stock buybacks?

Issues:

1. 2023 estimates are at risk if advertising weakens further.
2. FX
3. Anti-trust

Subject	Re: Re: Reality Labs Spending Duration
Entry	10/28/2022 10:04 AM
Member	finn520

As many have pointed out, the biggest issue of the metaverse stuff at META is that there is just no heat/product market fit. I bought the Quest for my kid, he used it a few times, and it has sat untouched for the last 2 months. You get in and it's just not clear what you are supposed to do and it's very confusing. It's like staring at an MS-DOS prompt.

Compare that to any of the existing successful internet/game companies where it's just a rocketship from the start. If I had to bet on RBLX or META winning a fight over the future of the metaverse, it would be RBLX in a knockout about 30 seconds in, or Minecraft/MSFT for that matter. It's like the original video game systems - they are just immensely addictive, fun to play, and intuitive to even a 6 year old, and it's not hard to see how they become more sophisticated over time and move up the chain to more AR/VR kind of stuff.

I guess the play is for META to win the hardware and become the platform for this other stuff, but the outcome seems very uncertain at best and they are spending a huge amount of money.

Subject	Re: Re: Reality Labs Spending Duration
Entry	10/28/2022 10:08 AM
Member	Motherlode

They could buy rbix for \$30bn which would match 1 year of investment! sorry - meant to highlight the math on how I was thinking about it.

Consolidated EBITDA (2023)	50,650					
Reality Labs opex	25,000					
Family of Apps EBITDA	75,650					
D&A	(8,000)					
Earnings before tax	67,650					
Tax	21% (14,207)					
Earnings	53,444					
Family of Apps EBITDA	75,650					
Tax	(14,207)					
Family of Apps capex	(20,000)					
FCF	41,444					
Shares	2,687					
FCF/share	15.42					
FCF yield	5%	6%	7%	8%	9%	10%
Stock price	\$ 308	\$ 257	\$ 220	\$ 193	\$ 171	\$ 154

	2019	2020	2021	2022	2023	
Total opex	46,711	53,294	71,176	86,000	98,500	27,324
y/y		6,583	17,882	14,824	12,500	
Total capex	15,102	15,115	18,567	32,500	36,500	17,933
y/y		13	3,452	13,933	4,000	

Subject Re: Too cheap to ignore?
Entry 10/28/2022 10:11 AM
Member puppyeh

why are you valuing this on EBITDA when the consolidated entity doesnt generate any FCF (mip's point)? why would you try to sum of the parts it when Zuck has super voting stock and has made clear he has zero intention of giving up the META dream anytime soon? all well and good to say 'look how cheaply we're getting core FB etc, this is absurd' but you arent able to extract that value without taking the META burn with it so whats the point?

you can make \$ buying META - and that is if you can pick when Zuck capitulates and massively cuts/walks back META spend. or when Zuck voluntarily gives up his super voting shares and/or moves to the chairman role or something. you prob don't even need to front-run it, sentiment will be so bad you could prob get in the day he caves, pay up 20% or whatever, and still kill it.

anyway that is for another time. there is zero logic to try to bottom pick this thing on non-cash metrics like EBITDA/SoTP w zero change in tone from Zuck, imo.

Subject Re: Re: Re: Reality Labs Spending Duration
Entry 10/28/2022 10:11 AM
Member honeycreek

For good reason, I don't think anyone believes in the metaverse spending. Thus, the question becomes, does Mark have the ability to concede defeat after it becomes obvious that the vast majority of the spending is uneconomic and will never produce a return? I don't think he cares about employee opinion or the stock price in the least. I think it's pretty clear that the market is assuming the ~\$20bn losses will be perpetual. If you believe they're not, I think the stock does well.

Subject Re: Re: Too cheap to ignore?
Entry 10/28/2022 10:40 AM
Member Motherlode

I valued the legacy business on a ULFCF yield. That was in the follow-up post which perhaps crossed. If you think Zuckerberg is hell bent on destroying his company and will invest \$25-30bn a year for a decade and has zero chance for success... then the stock seems fairly valued. If he pulls back the spend bc it is a failure or he creates some value out of this spend (even if this becomes \$25bn of value on a \$100bn spend), then the stock is a buy.

Zuckerberg answers to nobody for sure. however, we all know that the stock price is an important part of his company's ability to succeed as they pay employees in stock comp. That is the most likely restraint on him. plus - nobody likes to lose the billions he has lost on paper either. I just don't think you can capitalize the RL spend at 10x.

I hear you on timing and 100% agree with your point. but at some point market assumptions become so absurd that you can make money without a catalyst. Seems like we might be there or close - fleshing it out.

Subject Re: Re: Re: Too cheap to ignore?
Entry 10/28/2022 10:57 AM
Member Wrangler

puppyeh, great post. I'm a FB bull, but I think you're right that this can't be viewed as a SoTP because you can't choose FB and not the Metaverse as a shareholder, only Zuck can make that choice.

Earlier in the year, I thought on a consolidated basis, even if they burned \$10B/year on the Metaverse forever it was a good buy. Unfortunately, FX + macro headwinds caused revenue to stall out and they're spending way more than \$10B/year on the Metaverse. So now in 2023, as mip has pointed out, there won't be meaningful FCF on a consolidated basis.

But I think having around \$110-120B of revenue at a low point in the ad cycle and 0% margins sets up for very easy comps and a lot of operating leverage in 2024 or 2025. So I think looking at 2023 and concluding on a consolidated basis (including the metaverse) this is a terrible business is wrong.

I'm a very long-term oriented investor, but even I am struggling with the decision to hold this in the short-term (which is probably bullish for sentiment) because the only possible catalysts are (1) they bring in spending much more than the guidance or (2) the ad market and/or FB specific capex investments cause revenue to surprise meaningfully to the upside. I feel there's a pretty good shot at (1), and think (2) is unlikely. But either way, none of that will be known through year-end, which makes this an amazing target for tax loss harvesting right now. No catalysts and a lot of investors sitting on 50-70% drawdowns, so it makes a lot of sense even if you want to hold to sell now, and buy back in 30 days. The risk that it moves up enough to offset the tax benefit of locking in losses now is pretty low.

Longer-term on the metaverse burn, I think everyone in the world except Zuck thinks this is a total waste of money. I think that's more right than wrong, and the magnitude of the spend relative to the achievements certainly makes it look like there's a ton of fat in that loss, but I also think it's likely some valuable use cases come out of it.

Zuck framing Quest Pro as a workplace product I think is the first time I saw a potential high value use case that doesn't take any imagination. With 1 hour battery life obviously the first iteration is going to flop. But 200 million people each year do buy a PC. ***IF*** (that's in bold, underlined, italics, and caps for a reason) 5-10 years from now Quest Pro v10 can function as well as your PC, but instead of having a 13 inch screen you have as many 30 inch monitors as you want, wherever you want, and can set up your virtual office so it feels like your work station is on the beach, why would anyone want a PC?

I also think it's incredibly likely that there will be a mainstream VR gaming platform and it's highly likely that Oculus will be it.

That's not to say those use cases are worth spending \$17B/year (I think the risk/reward is very poor); I'm just saying that it's unlikely that in the long-run the NPV of the metaverse for FB will be $(-\$17B / \text{*discount rate*})$.

Subject	Re: Re: Re: Reality Labs Spending Duration
Entry	10/28/2022 11:25 AM
Member	Motherlode

thanks for all the comments - really helpful. I think I get it. The bulls were expecting a concession to the post free-money era yesterday. as that is what I would be hoping for now.... where Zuck cuts the spend on Meta or finds bigger cuts in the rest of the business. they got the polar opposite. this comes on top of a horrible tape for QQQ. so now we bake in the following concepts.

- 1) he is going to spend on META FOREVER and it has 0% chance of working. FWIW - I am not optimistic on success but \$25bn a year for a decade w zero to show for it?
- 2) Zuck doesn't care about the stock - despite it being a crucial part of his ability to fund this madness
- 3) Zuck doesn't care about money, his legacy or his ability to self-aggrandize himself by charitable donations.

I would go through and defend these assumptions but I think everyone knows this is dumb and he is going to pull back before \$150-250bn is incinerated. I do agree it might require a pivot on META/Zuck to get this to work really well. I think there are easy ways to make concessions to the post free-money era that would help - like more cost actions on the fat at META. I tend to agree that a pullback from meta in the next year is a low probability - or even providing a framework on where they would pull back.

As I think more, I think its more apparent that all of these tech businesses are vulnerable to economic cycles and disruption. as such, perhaps a company with 3.0bn users isn't a 5% ULFCF yield on trough. That said, the amount of value destruction baked into this stock on META strikes me as aggressive. thx again

Subject	Re: Re: Re: Re: Reality Labs Spending Duration
Entry	10/28/2022 12:12 PM
Member	mike126

Motherlode,

I have some questions on the maths you have laid out in your posts, and would appreciate a dialogue.

1) at a high level, actual FB post SBC consolidated FCF in 2023 will be close to 0. That's where the consensus has dropped in the past 2 days. At the same time, the FCF number you put in post #52 for 'Family of Apps' in 2023 is \$41 bil. So there's quite a big difference. Are you really saying the company is burning \$41 bil on FRL? I think there's a gap here that needs to be bridged.

2) I believe the EBITDA numbers you're using are pre-SBC; similarly - unless I am mistaken - I don't think the FCF numbers you use adjust for the company's 12 billion annualized SBC, which would make a meaningful difference to the valuation. Perhaps that's a part of the gap I mention above?

3) Finally, they're guiding to up to \$39 bil total capex in 2023. I've not seen a clear split of that between FRL and non-FRL and would appreciate if someone could enlighten me on that. Currently I am getting the sense the bulk of that up to \$39 bil is non-FRL and would be there even if Zuck ditched FRL ambitions. What you gives confidence that 'only' \$20 bil is a a defensible non-FRL rate of capex which is sufficient to guard against competition as well as regulation / safety?

thanks

Subject Re: Re: Re: Re: Re: Re: Reality Labs Spending Duration
Entry 10/28/2022 12:31 PM
Member Motherlode

Mike - I am rushing through this real time. My analyst just handed me numbers that are closer to yours. Will revert shortly - but suspect you are correct.

Subject Re: Re: Re: Re: Re: Re: Reality Labs Spending Duration
Entry 10/28/2022 12:45 PM
Member mip14

We can do all the SOTP non SOTP math but isn't the bigger question who cares about core Facebook as a consumer? I'm not trying to troll... but every year we get closer to Zuck 'giving up on meta capex' we also get closer to 'Facebook Blue being irrelevant.' I've asked 25+ people their use of Facebook blue, which I believe is where Facebook makes most of their money, and its close to 0% excluding toilet time.

These things are just so hard to get right. Again, its possible, stock down down 70% and may do a NFLX style rally. But, I think if you keep it simple, there is no way you can get conviction core Facebook has an important product 5-10 years from now.

This is a race against time. Other then toilet paper, I dont think any product should be used exclusively while taking a ****.

Subject Re: Re: Re: Re: Re: Re: Reality Labs Spending Duration
Entry 10/28/2022 12:55 PM
Member Wrangler

"we also get closer to 'Facebook Blue being irrelevant.' I've asked 25+ people their use of Facebook blue, which I believe is where Facebook makes most of their money, and its close to 0% excluding toilet time."

(a) time spent in the U.S. and globally on both apps (including Blue) is **UP** YoY. There are 3 billion people using it, spending MORE time this year than last year. I may be wrong since I only took some undergraduate courses in statistics but never majored in it; but, I think I trust a 3 billion person sample over your non-random sample of 25+ friends.

(b) good thing humans spend about 12 minutes on average on the toilet per day. That's 36 billion minutes a day to spend on Blue. It'll do ok.

Subject Re: Re: Re: Re: Re: Re: Reality Labs Spending Duration
Entry 10/28/2022 01:07 PM
Member Motherlode

Mike - We agree. You need to subtract SBC. on capex, I need to do more work to provide a response. To be clear, I placed a ? in my subject to trigger a dialog. I started researching META last night for the first time ever. I am inquiring as opposed to advocating. Apologize if I caused confusion.

Subject Re: Re: Re: Re: Re: Re: Reality Labs Spending Duration
Entry 10/28/2022 01:26 PM
Member mike126

thanks, Motherlode.

I am genuinely curious (and would appreciate anyone's guesses and views) as to how much of the consolidated capex is Reality/Metaverse/FRL vs advertising.

I remain confused by the stubbornly high capex-intensity of the digital ad business model in recent quarters. I am talking not just FB/META but also SNAP, TWTR. What if there are forces out there that are making the digital ad biz model less attractive than we have previously believed? Video and photo being data-hungry, regulation / safety / moderation, IDFA & privacy forcing more investment, etc etc? As more and more of our lives are conducted on these platforms, the demands on the platforms increase from all directions, and the economics can get worse. These kinds of businesses are occasionally compared to 'utilities'. That puzzles me. Real-life utilities tend to earn regulated (and generally not that attractive) % returns on capital and have fairly stringent quality controls. So in some ways, as an investor, I'd actually want digital ads businesses to be as far away from being 'utilities' as possible.

Subject Entry Member mike,	Re: Re: Re: Re: Re: Re: Re: Re: Reality Labs Spending Duration 10/28/2022 02:58 PM Wrangler
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They've said the capex is almost all for the core business.

How I understand it, pre-TikTok, the way FB would decide what would go in your feed and in what order was simple; see what your friends like or post and run some models to figure out what of that subset of maybe 1,000 posts a day to show you first. Now, post-TikTok, they are introducing suggested content into your feed that was never liked or posted by your friends from the universe of strangers. To do that, the AI has to sort through millions of videos, not thousands. It is way more computationally intensive. So in that sense, yes, social media is permanently more capital intensive.

But once the data centers are built to be able to do that on an unchanged amount of time spent, they should be able to ratchet it down A LOT. Since in 2019 (pre-suggested posts) they didn't have the data center capacity to be able to show relevant suggested posts in your Feed, they probably needed to add multiples of the existing capacity. But once it's added, they don't need to add it **again**, they just need to maintain that capacity. D&A will go up, but they shouldn't need to spend \$37B/year on capex.

I'd love to hear from anyone that has a more in the weeds view of what maintenance capex might be, but here's some napkin math I would use to think about it.

If I assume they are going to spend \$37B in capex in 2023, 2024, and 2025, then they will spend \$162B on capex over that 5 year period. From that new base, where they now have the compute power to suggest content and overcome attribution issues, those data centers would just need to be maintained, not grow. It's split 50/50 between buildings and servers and it looks like their PPE has an 8 year useful life. So $162/8 = \sim \$20B$ as a maintenance capex number sounds like a reasonably conservative estimate since to "maintain" that compute power should get much cheaper over time. I also added 2 more years of \$37B which I hope will prove conservative, and that estimate is really a maintenance capex a couple years forward estimate.

So if you have \$115B of revenue in 2023, less \$80B of costs (ex-metaverse), less \$10B of maintenance capex above D&A, after tax would get you \$20B of NOPAT.

Obviously, the metaverse will probably eat almost all of that, I'd guess \$17B. So you have a business on a consolidated basis earning \$3B on a \$228B EV. On 2023 #'s it does not look cheap anymore. But thankfully the world doesn't end in 2023. I think expenses are at a high, and revenues at a low point in the cycle, so 2024 and 2025 are likely to see significant operating leverage.

Subject Entry Member	Re: Re: Re: Re: Re: Re: Re: Re: Reality Labs Spending Duration 10/28/2022 11:03 PM Light62
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How does this TikTok analogy work?

The WSJ saw Bytedances financials and the entire company has \$74bln of assets of which \$43bln is cash. The company also apparently has large convertible debt holdings.

But, whatever, let's say all of their non cash assets are data center PP&E. That's \$30bln (in reality I assume they have \$10bln+ of receivables and proly \$10bln+ of convertible bonds given how much they lost on these plus TikTok is only a small part of the business). In terms of scale Facebook has twice the revenue.

So, somehow, (and in a best case analysis) FB needs to spend much more than 5x (more likely 20x) what it took TikTok to solve this problem?

What am I missing or how does this adequately explain Facebooks CapEx in a way that makes you comfortable?

Beyond that, to an earlier posters point, even if these numbers somehow make sense, they dramatically undercut the argument that Software scales; that is, one of the greatest software/ad business of all time *might* generate a high teens NOPAT margin if a bunch of generous assumptions work out. Seems kinda disappointing?

- | | |
|----------------|--------------------------|
| Subject | Re: Too cheap to ignore? |
| Entry | 10/29/2022 12:06 AM |
| Member | Shoe |
- 1) All these tech companies will care about their stock at some point. They can't let it keep falling like this if they can help it. It may take a while, but the stock price is indeed very important for attracting and retaining talent.
 - 2) I forget on which earnings call Zuck said this, it was many years ago, but he said something like, "We understand as a public company we can't keep letting expenses grow faster than revenues for a long period of time." I think he understands that this spending isn't sustainable for a long period of time. He will reverse it, especially if revenue gets worse
 - 3) He's juggling a lot of stuff, but I think he's spending a lot of the incremental expenses and capex on AI, data centers, etc. to combat TikTok, get reels right, and figure out workarounds to IDFA signal loss. Zuck is good at responding to these turning points at Facebook whenever he needed to hit the next evolution in social media. He goes all hands on deck and treats it like war. Obviously he's proven capable of keeping Facebook relevant and thriving through the shifting landscape from desktop to mobile, from text to news feed to pictures to stories and now reels. He's fended off many competitors. Buy the stock is a bet on his ability to get reels right, which I think he can.
 - 4) Yes the spend and FRL is incredibly stupid and wasteful and isn't going away. But trying to build this all from scratch is costly and will take a long time. But if TTWO and other video game companies can make pretty amazing MMORPGs, Meta will be able to execute as well. It'll just take a long time. Red Dead Redemption wasn't built in a day.

This is his childhood dream. And now he gets to spend tens of billions on it a year. It's not going to stop.

5) Zuck said this back in 2012:

"Simply put: we don't build services to make money; we make money to build better services.

And we think this is a good way to build something. These days I think more and more people want to use services from companies that believe in something beyond simply maximizing profits.

By focusing on our mission and building great services, we believe we will create the most value for our shareholders and partners over the long term — and this in turn will enable us to keep attracting the best people and building more great services. We don't wake up in the morning with the primary goal of making money, but we understand that the best way to achieve our mission is to build a strong and valuable company."

So clearly he gets that he needs a profitable, growing, and valuable company in order fund and to do what he wants.

To sum up, I think eventually he'll get reels right and figure out IDFA workarounds, FRL value destruction will continue, and eventually he'll slow on expense growth and try to get the stock up. TikTok momentum is already waning a lot. Down here, the stock is probably a buy.

- | | |
|----------------|--|
| Subject | Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Reality Labs Spending Duration |
| Entry | 10/29/2022 09:23 AM |
| Member | Wrangler |

Light,

"So, somehow, (and in a best case analysis) FB needs to spend much more than 5x (more likely 20x) what it took TikTok to solve this problem?"

First, I don't know what you're talking about, I don't see them spending 20x or even 5x TikTok adjusting for size difference. Can you elaborate on how you get 20x?

Second, TikTok leases data centers and uses cloud providers much more than Facebook does, so you're comparing apples to oranges. That same WSJ article you noted shows ByteDance cost of revenue is 44%, Facebook's is 20%. TikTok is just expensing more of their data center costs.

"Beyond that, to an earlier posters point, even if these numbers somehow make sense, they dramatically undercut the argument that Software scales; that is, one of the greatest software/ad business of all time might generate a high teens NOPAT margin if a bunch of generous assumptions work out. Seems kinda disappointing?"

I don't think I made any generous assumptions, and I don't think this tops out at high teens NOPAT margins.

Subject Brownlee
Entry 10/29/2022 09:41 AM
Member cuyler1903

No position but thought you all would enjoy. Love this guy's tech reviews.

<https://www.youtube.com/watch?v=CqkhjL3WvWQ>

Subject Why trust meta capital allocation next 5 years when the last 5 year capital allocation has sucked?
Entry 10/29/2022 10:12 AM
Member mip14

Great twitter thread here (pretty much facts not opinion).

https://twitter.com/chrisbloomstran/status/1585761878193545216?s=48&t=N2uhQ-vvnQOxS0s_RfPrHw

Would you be shocked to learn that it took \$112 billion to shrink the FB/META shares outstanding by all of.....wait for it.....less than 7% cumulatively. A stunning 78% of profit and 50% of CFO dropped the shares outstanding from 2.888B to 2.687B, a mere 201m reduction.

Subject Re: Why trust meta capital allocation next 5 years when the last 5 year capital allocation has sucked?
Entry 10/29/2022 10:56 AM
Member Wrangler

Mip,

"Would you be shocked to learn that it took \$112 billion to shrink the FB/META shares outstanding by all of.....wait for it.....less than 7% cumulatively."

Yes, I would be surprised to learn that, primarily because it's not actually true if you look at the filings.

I don't know where he gets \$112B. If I just add "Repurchases of Class A common stock" on the cash flow statement from 2017-present, the total is \$91B, not \$112B. That's all the buybacks FB has ever done, so I'm not using a different time period. Also, if I compare share count at year-end 2016 to share count at present, it's down 8.3%, not 7%.

And obviously when you do 72% of your cumulative buybacks in a 21 month period at \$250/share and the stock is at \$100, it's not going to be particularly effective.

Subject Re: Re: Why trust meta capital allocation next 5 years when the last 5 year capital allocation has sucked?
Entry 10/29/2022 11:46 AM
Member mip14

good catch - thanks for correcting.

i think the point still stands, but not as much.

Subject Re: Re: Re: Why trust meta capital allocation next 5 years when the last 5 year capital allocation has sucked?
Entry 10/29/2022 01:36 PM
Member Wrangler

I think he was really making two points (1) that there is some mysterious way that SBC is much more expensive than shown on the income statement and (2) that they timed the buyback very poorly.

(1) Makes no sense. \$91B of buybacks offset by \$38B of SBC. Net buyback of \$53B. On today's market cap, that would reduce shares outstanding by 20%, but they paid a little more than double this price so it's only 8%.

(2) Could have been reduced to one tweet "The average price paid by FB for it's \$91B of buybacks was \$257. *Insert shoveling money into a fire animation*"

Obviously, everyone agrees in hindsight buying back \$65 billion of stock in the high \$200s / low \$300s was horrible timing.

Subject	<-----0----->
Entry	10/29/2022 03:56 PM
Member	SpocksBrainX

Down here, the stock is *probably* a buy. (emphasis mine)

-
personally, I feel like navin at the gas station...



there is one thing I think I have figured out
if I own a stock that is down 70% ytd, then I ain't got no edge in that stock
time to go back to the drawing board...

Subject	Re: Re: Too cheap to ignore?
Entry	10/31/2022 10:11 AM
Member	Motherlode

A lot of helpful comments. here is how I shake out. This stock could be the source of some real brain damage and agree that it might not work until Zuckerberg provides more guidance on the limits to the spend or cuts other costs as a concession. I disagree 100% that you shouldn't look at this on a SOTP. I am doing this to assess how much negative value is attributable to the META investment. once it hits absurd, I think you have valuation floor. Based on my current estimates, I think the market is placing a -\$175bn value to the META investment. Frankly, this could be conservative as 5% ULFCF yield on 2023 (cyclical trough) and ~10x EBITDA seems solid for their core assets - even if they are subject to new disruptions. I also wonder why this is the only stock in big cap tech where you work SBC into the valuation - but I can't quarrel with that. Seems like we are pretty close to floor then? I say that because I disagree with any notion that Zuckerberg doesn't care about the stock or money or legacy or winning. I also think he is a ruthless business person who sees something and should be given some benefit of the doubt. If this was Zuck jr or Zuck III, I would be far more concerned.

To the bears point, I do agree that this doesn't have the growth for growth investors or the FCF for value investors. so - its a bit lost in the void. all that said, I suspect it works out from here without much of an edge.

I will say this exercise has made me even more bullish on SMCi who is selling them high end servers to serve their AI, META, analytic processing. Perhaps more to come here.

Consolidated EBITDA (2023)	50,650
Reality Labs opex	25,000
Family of Apps EBITDA	75,650
SBC	(13,000)
D&A	(8,700)
Earnings before tax	53,950
Tax	21% (11,330)
Earnings	42,621
Shares	2,687
EPS	15.86
Current P/E	100 6.3x

Family of Apps EBITDA	75,650
SBC	(13,000)
Tax	(11,330)
Family of Apps capex	(30,000)
FCF	21,321
Shares	2,687
FCF/share	7.93
Current P/FCF	100 12.6x

FCF yield	5%	6%	7%
TEV	\$426,410	\$355,342	\$304,579
Cash	\$15,000	\$15,000	\$15,000
META	(\$175,000)	(\$175,000)	(\$175,000)
Equity	\$266,410.00	\$195,341.67	\$144,578.57
Stock price	\$99.15	\$72.70	\$53.81
Implied P/E	6.3x	4.6x	3.4x

Subject Re: Re: Re: Too cheap to ignore?
Entry 10/31/2022 10:25 AM
Member JohnKimble

They break out OI by segment, so why not discuss it on those terms? It seems like you're high for consolidated EBITDA and really high on reality labs opex especially if its before SBC so for anyone to engage with your estimate it might be helpful to compare to '22E or to use segment operating income numbers.

Subject Re: Re: Re: Re: Too cheap to ignore?
Entry 10/31/2022 11:38 AM
Member Motherlode

yeah - I should remove the RL SBC from SBC which probably offsets the 23 EBITDA estimate being on the higher end. I don't think it changes the analysis demonstrably. basically, the market really hates the META investment - even after the added spend on the core?

Subject Re: Re: Re: Re: Re: Too cheap to ignore?
Entry 10/31/2022 01:27 PM
Member Bill

META does seem very cheap if one takes a long-term view. However, it feels like a dead-money-value-trap for now, which many of us have gotten caught in on the way down. The next likely driver of the stock may be year-end tax loss selling and portfolio repositioning. If this happens, I will be looking to buy prior to 2023 because I think Zuck will have to rethink his spending plans and announce spending cuts on the 4QEPS report if the stock continues to decline.

A Musk lead twitter could also pose a meaningful risk to META, and I would like to see how this sorts out.

Subject Re: Re: Re: Re: Too cheap to ignore?
Entry 10/31/2022 04:43 PM

Member

rookie964

As pointed out below, I think your EBITDA starting point is significantly off by \$25B+. Depending on that input, you are going to come to a very different conclusion.

Subject Re: Re: Re: Re: Re: Too cheap to ignore?
Entry 10/31/2022 07:58 PM
Member InfrmtnOverflow

Ben Thompson now out with a Meta defender: <https://stratechery.com/2022/meta-myths/>

Subject Re: Re: Re: Re: Re: Too cheap to ignore?
Entry 11/01/2022 10:06 AM
Member Motherlode

I am taking sellside \$48bn EBITDA adding back -\$25bn of RL EBITDA to isolate Family of Apps ("FOA"). As somebody else suggested, to properly isolate FOA I should only subtract the FOA SBC and tax as opposed to the consolidated SBC and TAX. I made those adjustments which increases the ULFCF of FOA. At a 5% ULFCF yield, this implies \$250bn of value destruction at RL. This is clearly highly sensitive to the ULFCF yield you apply.

My conclusion: If you are Ben Thompson believer, this is a huge buy as that would argue for 3-4% ULFCF and even with some negative META the stock should be a lot higher. If you think FOA is in decline and Zuck never quits or gets results on META... its a clear short ... but you don't need to do analysis in that scenario! to me, I think META is more resilient than bears suggested - evidence by ad impression growth and modest user engagement. I also am underwriting to a rational Zuck. so on balance - I am modestly constructive - WITH ZERO EDGE.

Consolidated EBITDA (2023)	47,785	<=Refreshed as of 10/31	
Reality Labs opex	25,000	<=-3.7bn in 3Q, moving higher	
Family of Apps EBITDA	72,785		
SBC	(13,000)		
D&A	(8,700)		
Earnings before tax	51,085		
Tax	21%	(10,728)	
Earnings	40,357		
Shares	2,687		

Family of Apps EBITDA	72,785		
SBC	(8,000)	<=Ex. \$5bn RL	
Tax	(9,728)	<=Ex. \$1bn RL	
Family of Apps capex	(30,000)		
FCF	25,057		
Shares	2,687		
FCF/share	9.33		
Current P/FCF	100	10.7x	

FCF yield	4%	5%	6%	7%
TEV	\$626,429	\$501,143	\$417,619	\$357,959
Cash	\$15,000	\$15,000	\$15,000	\$15,000
META	(\$374,429)	(\$249,143)	(\$165,619)	(\$105,959)
Equity	\$267,000.00	\$267,000.00	\$267,000.00	\$267,000.00
Stock price	\$99.37	\$99.37	\$99.37	\$99.37

Subject Re: Re: Re: Re: Re: Re: Too cheap to ignore?
Entry 11/02/2022 10:10 AM
Member juice835

i really want to like META mostly on the notion that users in the core apps seem to be hanging in there/growing a little. Also and perhaps especially, i just find it hard to believe that Zuck will want to continue to light his net worth on fire indefinitely and this seems pretty in his control with respect to AR/VR spend.

THAT SAID, with this one and a bunch of others, i just can't quite get past stock comp. It's not just that it's a large and real expense obviously. It's that it can't really be quantified going forward-- if you spent X in the past but then the stock went down 70% and a lot of it isn't worth much, how can you possibly know what you REALLY need to give away in stock comp in the future to keep the troops marching. And with META, if it seems like mgmt doesn't care how the stock trades, how does that factor into what people need to get? it just seems like an expense black hole that can't really be analyzed

Subject Re: Re: Re: Re: Re: Re: Too cheap to ignore?
Entry 11/02/2022 10:38 AM
Member Motherlode

agree 100%. These big cap stocks with huge SBC are confidence schemes in a way. that is why Zuck has to bend the knee to market conditions at some point. not sure when. ABNB seems like the most absurd one. at this point, they host a website with some pictures on it. maybe some biz dev to keep host happy. realize there is network affect and brand... but still.

Subject Re: Re: Re: Re: Re: Re: Re: Too cheap to ignore?
Entry 11/02/2022 12:25 PM
Member tyro

my 2c is that SBC is the easier component of this one to handle. think of it in dollars compensation. that figure wont be coming down, and its gone from 1-2% of annual dilution to ~5% annual dilution. i think it is pretty bounded.

the VR spending is uh... not so bounded. the bull case right now is META spends a cumulative ~\$80bn on VR by 2025, with rumors that number could be \$100bn. and presumably Mark intends that investment to continue bc there will be goalposts signaling success if only they keep improving the product. so to swing VR from a negative to a positive NPV, we -- you and me -- need to wait for VR revenue to actually take off and cover >\$15bn of annual expenses. yay.

I'm on board with the Family of Apps being worth \$400-500bn, call it \$150-200/sh. but then this VR spend... cant figure out how to even bracket it at -\$75bn. that's only 4 years of spending at this trajectory and idk that Zuck will change his mind when the product & ecosystem keeps improving.

Subject TikTok
Entry 11/09/2022 09:58 AM
Member Wrangler

Does TikTok lowering revenue estimates for FY22 by 20% signal maybe there's some truth to the "macro headwinds" story for FB's revenue flatlining? Or is TikTok struggling from competition with TikTok too?

Subject Re: TikTok
Entry 11/09/2022 10:23 AM
Member Motherlode

I think the following is undeniable. when apple cut off the ad targeting capabilities, META, snap, ticktock... etc... lost their vision into what a user searched for and had interest in. so the quality of the ads rendered went down. if you advertise for the wrong stuff, people don't click and they don't buy. if they click, you get some fees... if they buy, you get more. so the reduced quality of a user profile hurts. Plus advertisers are cutting back due to the economy. as such, the price/ad went down because they were sending tricycle ads to middle age men - instead of say golf clubs. everyone is spending like crazy on AI servers to build a better profile of their users now. whoever gets the best profile fastest will restore their targeting capabilities and the \$/ad will go back up. META's spend and the number of touch points with 3-4bn users should mean they are fastest to get there? Ticktock's user count is flat-lining and its a much smaller org. They also only have one touch point with users. so their ability to build a user profile is diminished. I am not suggesting that kids will switch to insta/reels as a result but TickTok is not as well positioned to build a user profile and improve the targeting of their ad rendering.

separately, if we were waiting for Zuck to bend the knee to costs? Did we get that? Does this make it go time?

Subject Re: Re: TikTok
Entry 11/09/2022 11:43 AM
Member CaptainAyub

India is a great case study - no TikTok in India and Reels has taken off.

For viewers, there is value to remaining in the ecosystem vs. switching apps all the time.

For creators, they will go where the \$ are.

Subject Lessons from Twitter
Entry 12/02/2022 02:51 PM
Member nychrg

CEOs of social media companies are watching Elon lead Twitter with 1/3rd of its employees. And contrary to what many were hoping the core product seems to be functioning fine (perhaps leaner and better?), understanding there are unknowns about content moderation and related implications from various domestic and foreign regulatory entities (many of which probably have little to do with staffing even if they'll insist it does).

With the downturn afoot and tech layoffs underway, seems like a green light to reverse a lot of expense that accumulated over a long bull market, the hiring stats for Meta and other big techs are eye popping. Significant entitlement has built up over the past couple of years, seems like the obvious move is cut deeper and manage for cash flow. For Meta this might not contradict with Zuck's outsized metaverse bet, perhaps deep cuts in other areas can help fund this. Deeper cuts probably aren't priced in yet but seem materially more likely/possible post Elon's cost reductions at Twitter.

Subject Re: Lessons from Twitter
Entry 12/02/2022 02:59 PM
Member Light62

It's hard to separate the impact of Elon Musk's philosophy and the reduction in content moderation from the downsizing at Twitter but Twitter is seeing lots of important advertisers defect. At least some of that must be attributable to concerns about the impact of the layoffs on the "unknowns about content moderation" as you put it. Obviously, it's Musk so you can't trust anything he says but the outlook for Twitter does not seem good and if I was a social media CEO I would hardly look at Twitter as a green light to fire a large portion of my employees.

Subject Re: Re: Lessons from Twitter
Entry 12/02/2022 03:20 PM
Member nychrg

At the risk of this turning into a political conversation about the current state of twitter - which imho isn't a constructive or worthwhile conversation to have on VIC and def doesn't belong on a Meta thread albeit acknowledge this topic is red meat ... my read on the advertising defections on twitter is its due to "brand safety" concerns which is informed by my conversations with ad executives. Brand safety concerns stem mostly from Elon's views on "free speech" and general content moderation, and also his general erratic conduct, not company wide staffing levels which run many multiples greater than content moderation teams. Clearly having an entire content moderation team walk out isn't helpful to brand safety, however Twitter's situation is ideosyncratic because Elon decided to instantly burn down the old culture.

That's not the point I'm making in my post tho. The main point was that with most of the Twitter workforce walking out the door the product seems to function fine and illustrates the bloat that has accumulated. Labor expense is the largest expense and its certain social media CEO's are watching and asking, "what exactly are all these people doing at my company and seems like we don't need so many". To your point, by virtue of watching what went wrong at Twitter they can do this more gracefully vis a vis advertisers. Seems like a softball for Meta and my bet is inspite of all the criticism Zuck isn't as stupid as he looks.

Subject Re: Re: Re: Lessons from Twitter
Entry 12/02/2022 10:05 PM
Member Light62

All I know is what I've read. A lot of ad agencies have recommended their clients pause spending on Twitter and they are typically pointing to the layoffs and departures as the primary source of risk.

Maybe they're lying and it's really about Musk. Or maybe this works and Twitter succeeds in maintaining platform quality with a dramatically reduced headcount. But based on what the ad agencies are saying if I was Zuckerberg I wouldn't view Twitter's experience to date as a good sign for mass layoffs. I mean revenue expectations for Q4 fell from \$1.4bln (which allegedly already included the impact from overall ad spending declines) to \$1.1bln on the basis of brands being scared off.

I guess the thing Facebook has going for it is that Twitter advertising is generally about brand awareness so this is probably a bigger problem for them than Facebook.

Subject Re: Lessons from Twitter
Entry 12/03/2022 10:28 AM
Member bowd57

Hi, all –

The main lesson I take from this that we live in a world in which optimal staffing levels at social media companies have somehow become political, which I find deeply disturbing.

Nychrg, this should not be construed as an attack on you or your political views, whatever they are.

Yours,

Bowd

Subject thoughts on the Regulatory Vampires in Europe?
Entry 12/12/2022 09:22 AM
Member SpocksBrainX

curious, any thoughts from those long or short on the regulatory rulings in Europe - saw a Morn note referencing the WSJ article about European regulators going after Meta again re: European privacy rules. Specifically, it noted that that European Data Protection board could fine META up to \$13b (4% of revenue since rule in effect in 2018) which could per the analyst permanently reduce ad prices for Meta's properties. This analyst said that if 'ad inventory remains static but global ad prices are 10% to 20% lower..., our valuation would decline 12% to 25%" (FV at \$260, but this figure has been wildly fluctuating to almost be worthless IMO).

They stress this is worst case, Meta will fight, etc., but it could affect the social media companies as a rule including Snap and Pinterest. A lot had to do with the customer opt-in, opt-out features. To be blunt, I'm just a little Bubba with no in-depth knowledge of these things ("this is a numbers buy vs. business buy" for me) and don't really understand ANY of it, and I will admit to be tired of the bludgeoning of bad news from this body or that body with these sort of stocks that I can't evaluate. Thoughts? And if you have a view, how do determine it? I realize that rulings aren't always reality, and opinions aren't reality either, but when I can't evaluate either it just seems a lost cause to even play in this space and there are many fish to fry, so....

thoughts?

Subject	Re: thoughts on the Regulatory Vampires in Europe?
Entry	12/12/2022 04:40 PM
Member	Trajan

this is a really worrying ruling. and the impact is not confined to meta/social. it has to do with any platform (i.e. Amazon / YouTube/ Netflix) according to my understanding. it basically makes harder targeted ads for any platform. aren't all the other platforms doing the same with our personal data? said that, how can be valued the impact? provided that many pieces of the advertising puzzle would move in response to such ruling, but how? I am thinking about, I don't have a response, good to raise the issue.

Subject	Re: Re: thoughts on the Regulatory Vampires in Europe?
Entry	12/12/2022 05:01 PM
Member	WinBrun

trying to understand this better--is the worry here that this restricts what Meta/Other digital platforms can do with first-party data-i.e. what the user is doing on platform i.e. Meta cannot serve targeted ads to an Instagram user based on what users are doing inside of Instagram and based on what they know about the user?

Subject	Re: Re: Re: thoughts on the Regulatory Vampires in Europe?
Entry	12/12/2022 05:31 PM
Member	SpocksBrainX

<https://www.wsj.com/articles/metasp-targeted-ad-model-faces-restrictions-in-europe-11670335772>

from the Morn analyst:

While the GDPR requires user consent to use data such as online behavior for targeted advertising, if the data is considered a necessity for the service in question, the user only must be offered the option to agree to terms or not access the site or app. Meta has been defining user behavior data as such and therefore has not had to provide an explicit opt-in for its users. It could be forced to abandon this method; if many choose to opt out, this could reduce returns on ad spending for advertisers, which may lead to lower ad pricing.

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cnet article

Meta-owned platforms Facebook and Instagram shouldn't be able to hide behind terms of service in requiring users to agree to targeted ads based on their activity within those apps, privacy regulators in the European Union reportedly ruled on Monday.

The apparent ruling, by a board representing all EU privacy regulators, hasn't been disclosed publicly. But The Wall Street Journal reported that it calls on Ireland's Data Protection Commission, which regulates Meta in the EU, to issue public orders reflecting its decision and to levy fines. The Journal cited unnamed people familiar with the regulators' decision.

Though Meta lets users opt out of targeted ads based on data from other apps and websites, they don't have that option when it comes to ads based on their activity within Meta's apps, such as what videos they watch or items they tap, the Journal said. If upheld, the ruling could prompt Meta to offer such an opt-out, the Journal reported, though it's unclear what steps Meta would take.

Meta can appeal the ruling, but if upheld, the decision could deal a significant blow to the tech giant's lucrative advertising business, according to the Journal. With less data to rely on for advertising, personalized ads across Facebook and Instagram would be far less effective, and Meta relies on such ads for much of its revenue, the Journal said.

"This is not the final decision and it is too early to speculate," Meta told CNET in an email. A company spokesperson said the EU's existing and overarching General Data Protection Regulation "allows for a range of legal bases under which data can be processed, beyond consent or performance of a contract."

Meta is cooperating with Ireland's Data Protection Commission on its inquiries, the spokesperson said. The final decision will come from that agency and is expected in January, the company told CNET. Ireland's Data Protection Commission didn't respond to CNET's request for comment.

This isn't the first time Meta has faced scrutiny from privacy regulators in Europe. The company was fined \$275 million in November after data scraped from Facebook was found on the internet, and it was fined \$400 million in September for failing to protect children's privacy on Instagram.

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nobody cares but me, but I am REALLY bothered by having to use anotherperson's opinion to form my own opinion here (such as it is)...help and assistance is one thing, being spoon-fed is dangerous

Subject	Re: Re: Re: Re: thoughts on the Regulatory Vampires in Europe?
Entry	12/12/2022 06:17 PM
Member	Wrangler
Spock,	

Biased FB-owner here. The issue is the claim that FB is "forcing consent" by giving no choice; i.e., "let us use your data to serve personalized ads, or don't use Instagram." FB's main defense appears to be that they have a contract with their users to provide personalized advertising services, so collecting the data is necessary for the performance of a contract. That seems like a reasonable argument. But assuming they lose in court, what happens (besides the fine), which I think is what you care about.

My assumption is they would provide a real choice to users, but the choice would end up with the business looking pretty much like it already does. They would have a prompt like the Apple ad tracking prompt, but it would give the choice between a paid subscription with no ads or no personalized ads, and a choice to maintain a free personalized ads experience. They may even offer the choice of a free non-personalized ads experience with XX% more ads than the personalized choice so they net out the same economics... If given those choices, I would be surprised if anyone stopped using the services (especially since every other app would have to do the same thing), and the choices can be structured to be net neutral to revenue. So besides the potential for a fine, I don't see this impairing the business.

Subject	Re: Re: Re: Re: Re: Too cheap to ignore?
Entry	02/02/2023 08:42 AM
Member	tugger85

Hey Motherlode - would you mind updating this for the most recent cost/CAPEX cuts? Thanks in advance!

Subject	Re: Lessons from Twitter
Entry	02/02/2023 12:09 PM
Member	nychrg

Zucks seems to have gained a new affinity for head count reductions ... or maybe he learned to shift his messaging toward what investors want (and don't want) to hear. Elon's house cleaning at Twitter showed silicon valley they can cut much deeper after a many years hiring surge during the bull market ... in spite of all the main stream media trolling Elon and suggesting twitter was going to shut down due to lack of bodies, the opposite happened ... less bloat has led to better, faster decision making ... the ability to cut so much of their primary expense (headcount) if/when needed while improving performance is a powerful tailwind for like companies including Meta. This shift remains underappreciated.

Subject Re: Re: Re: Re: Re: Re: Re: Too cheap to ignore?
Entry 02/02/2023 03:52 PM
Member Motherlode

This has been an epic run. I sold all today. I think it could still work but its not nearly as cheap as it was - even with the improvements. think this rally in the market seems to be on shaky ground too... so best of luck and thx to aquicap for writing this up. helped frame the opp.

Subject Re: No FCF - SBC next year?
Entry 02/03/2023 11:09 AM
Member Wrangler

mip - Question. You said META would spend \$34-39bn on capex and have no FCF next year. Correct me if I am wrong, but they reduced the guide to \$30-33bn and margins seem to be stabilizing. Do you see a re-deceleration at some point or have you re-rated your FCF expectations. Thanks.

Subject Re: Re: No FCF - SBC next year?
Entry 02/03/2023 11:12 AM
Member Wrangler

ps, I value your posts on the whole mip, please keep them coming! Just thought it would be funny to change a few words in your question to WinBrun on the AMZN thread and repose the question to you in the META thread where you've conveniently disappeared this quarter.

Subject Re: Re: Re: No FCF - SBC next year?
Entry 02/03/2023 11:44 AM
Member darthtrader

I'm sure the response will be a humble mea culpa

Subject Re: No FCF - SBC next year?
Entry 02/03/2023 12:40 PM
Member nychrg

mip14 wrote - "If META spends \$34-39bn in capex next year and OCF is ~\$45bn with \$10bn in SBC juicing the numbers... there is no true FCF next year.

Thoughts from bulls?"

Just reading this thread now, wasn't focused on Meta until early Nov.

1. True FCF is best measured net of growth cap-ex, assuming he can shut off the growth cap-ex whenever he wants. In other words growth cap ex is a Use of FCF and belongs below the FCF line. Thus true latent FCF of Meta is massive, even if we all think he's then misallocating it. However, thats the point, the underlying business is generating FCF and someone (Zuck) is choosing to (in our view) misallocate most or all of it. But, the true FCF is somewhat durable and won't change overnight, the misallocation or degree of misallocation can shift at a moments notice.

2. The opportunity in Meta was (and probably still is) that investors priced the stock as if Zuck would divert all the FCF into a bottomless Metaverse sinkhole with virtually no chance of future returns forever. Thus even a more nuanced approach of cutting some costs and reigning in his Metaverse spending can have a material impact on the valuation investors will place on META. He still has a business that can massively cut costs without material impacts to revenue, the potential to moderate or eventually eliminate the misallocation of capital, or perhaps evidence emerges that the growth investments have more economic potential than we all thought and it turns out that Zuck isn't as dumb as most of us have assumed.

Stock has doubled off the bottom so for sure the easiest money has been made. That said, if this is really a year of efficiency and Zuck starts to pivot even a little off his Metaverse kamikaze mission, I'm willing to let my winnings ride bit longer. Maybe he gets religion and slashes expenses further, or reduces the metaverse spending some more, or efforts to engage his billions of users more akin to tick tock works, or perhaps efforts to monetize whats app bear some fruit.

Subject Re: Re: No FCF - SBC next year?
Entry 02/03/2023 01:25 PM
Member Wrangler

This is an important shift imo:

"as we started doing the work, I actually think it makes us better, right? And that was somewhat unexpected, right? I kind of, historically, would have thought that this would just occupy some amount of our mind space and that, that would be more of a trade-off against how we are able to build products and get things done. But at this point, I'm actually fairly optimistic that there are a pretty good road map of things that we can do that will just make us more efficient and actually better able to build the things that we want. Not all of them will help save money, right? So for example, focusing on AI tools to help improve engineer productivity, it's not necessarily going to reduce costs. Although over the long term, maybe it will make it so we can have fewer – we just hire less, right, and stay a smaller company for longer. But I do think things like reducing layers of management just make it so information flows better through the company and so you can make faster decisions. And I think, ultimately, that will help us not only make better products, but I think it will help us attract and retain the best people who want to work in a faster-moving environment. And so that honestly was a little bit surprising, right, that as we started digging into this that the company would actually start to feel better to me. And I don't know how long that will – like how long the road map is, if things that we can continue to do where that will be the case. But I do think we have a good amount of things like that. So that's why I'm really focused on this now. And I do want to continue to emphasize the dual goals here of making the company a better technology company and increasing our profitability."

Even the tone of his voice was noteworthy. He sounded excited about the cost cuts. It sounded like in just three months of focusing on efficiency and realizing how much waste there was (probably inspired a bit by seeing Twitter run on 75% less people) he's excited that if he spends a little bit of time cutting out a ton of wasted spend that has no value, he can still spend \$15Bn/yr on the Metaverse and have a profitable growing company.

Subject Re: Re: Re: No FCF - SBC next year?
Entry 02/03/2023 01:51 PM
Member mip14

Yeah META FCF is higher then I thought. Still seems wildly expensive but kudos to those that bought earlier and took what seems like a great r/r on opex decisions.

Subject Re: Re: Re: Re: No FCF - SBC next year?
Entry 03/14/2023 10:26 AM
Member Wrangler

"If META spends \$34-39bn in capex next year and OCF is ~\$45bn with \$10bn in SBC juicing the numbers... there is no true FCF next year."

Since this statement, capex guidance has been reduced by \$5bn, opex guidance has been reduced by \$11.5bn, and seeing a lot of commentary about improvement in ad performance.

I guess there is true FCF after all...

Subject Re: Re: Re: Re: Re: No FCF - SBC next year?
Entry 03/14/2023 10:59 AM
Member WinBrun

The response from MZ has been pretty remarkable. the context that mip never accounted for that remains true is that unlike almost every business that loses money/burns cash/or show declines in underlying profitability, there were a handful of megacap tech companies (Amazon/FB/Google/probably a few more)/as well as some smaller ones that have extremely profitable businesses that were masked by a variety of expense/capital spending that was either non-core or intended to support top-line growth from the pre-Covid/Covid era/secure talent in a tight market. Part of the opportunity in these companies was, and remains, the companies respond by reducing costs, refocusing on the core, and managing for slower growth. Meta is clearly doing it. I don't know to what degree Amazon and Google will choose to do it, but if either took a Meta like approach to capital allocation/cost management, and communication, the stocks would probably doing very well because the underlying earnings power that is not reflected would show up. the question is whether the companies are actually going to take this approach and it is far from certain that they will-it requires a pretty dramatic shift in culture, budgeting, and sensibility that has been developed and hardened over 20+ years from a combination of 20+ top-line growth for decades, a fear of regulators, and a pass from the public market because the stocks did well. Amazon, for example, could just segment non-retail/other bets in another segment and overnight change the perception of the company.

Subject Re: Re: Re: Re: Re: Re: No FCF - SBC next year?
Entry 03/14/2023 05:01 PM
Member nychrg

Meta was probably the best candidate in that their social network generates huge recurring revenue and probably requires 5% of total headcount to keep its lights on. Elon's pruning at twitter showed what's possible and Zuck seems to be emulating his approach. The hiring stats for Meta over the past few years were off the charts, they probably have multiple rounds they can still do. Yesterday, Instagram announced they will shutter their NFT marketplace business which is telling, its tangential to the metaverse and represented a future opportunity for growth in digital assets. Seems like this stock can keep working just on the self-help, perhaps Zuck seeing how well his efficiency drive is working will reduce his metaverse ambitions and ramp the buy-back.

Subject Re: Re: Re: Re: Re: Re: Re: No FCF - SBC next year?
Entry 03/14/2023 05:18 PM
Member WinBrun

these are good points. meta had some unique characteristics--namely size of the metaverse investment relative to size of the company and a founder/CEO who can essentially do what he wants. may have less bureaucracy and competing interests.

but Google and Amazon are also very good candidates for different reasons (many explained on the board).

MZ has totally embraced this. It removes a massive cultural overhang on the stock--i.e. the founder/chief capital allocator didn't care about profitability. When you listen to management and Google and Amazon, you almost get the sense that innate resistance to publicly embracing some of this, borne out of many years of wanting to minimize attention on this. internally, you know they care, but from a public communication standpoint, their tone is different. Amazon did in the early days--Google never really has but the business was so unbelievably profitable they didn't need to.

good execution and results are what matter over time. but I do think in periods of change or when the environments shifts, it is helpful for the companies to communicate explicitly about how they think about some of these issues. Meta did/CRM did/Spot did sort of (we are talking big tech but many smaller companies have as well-Digital Ocean/Asana). I suspect we will see more.

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: No FCF - SBC next year?
Entry 03/14/2023 05:35 PM
Member nychrg

WinBrun, good point. Who are the other best candidates for this self-help playbook? Google seems ideal but hard to know if they have the will. CRM was surprising giving Benioff's 'Ohana' culture. Have to imagine that Silicon Valley CEOs aren't a bit envious of FB right now.

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: No FCF - SBC next year?
Entry 03/14/2023 05:40 PM
Member Wrangler

I put high odds on the fact that Larry and Sergey are starting to get cost cutting FOMO watching Musk and Zuck strip out \$10s of billions of expenses with no effect.

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: No FCF - SBC next year?
Entry 04/26/2023 07:06 PM
Member Wrangler

Some things said less than 2 quarters ago:

"2023 math- what am I missing, 127bn consensus revenue. (Probs too high). 100bn of expenses = ~27bn on GAAP EBIT + 7bn DA? - 37bn capex = -3bn fcf. bulls keep saying this is a value stock and a cash machine. Are we moving the goal post once again ?"

"If META spends \$34-39bn in capex next year and OCF is ~\$45bn with \$10bn in SBC juicing the numbers... there is no true FCF next year."

"I'm I the only one that thinks META will have declining sales in 2023? I just don't understand how they will grow ad revenues on a year where the whole world is going into a recession at the same time that TikTok is fiercely pushing their e-comm features?"

Outlook 2 quarters later: 127bn revenue is probably not too high, expenses ex-restructuring costs are \$84bn at the mid-point (which they will probably beat by \$2bn), capex probably \$30bn (and probably trending down over time), & D&A \$10bn = \$18.5bn+ after-tax fcf after burning \$12bn/yr after-tax on reality labs and spending \$10-15bn/yr more than maintenance capex.

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: No FCF - SBC next year?
Entry 04/26/2023 07:50 PM
Member tugger85

Now trading at a 4.6% FCF yield on those numbers (not adding back growth CAPEX since that is necessary to grow the business). The easy money has been made? (for the record, I own it).

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: No FCF - SBC next year?
Entry 04/27/2023 07:51 AM
Member Wrangler

tugger, obviously the easiest money has been made, I'm not so sure there's not still easy money to be made though.

I'm certain \$30bn/yr in capex is not necessary to grow the business. Necessary to grow the top-line double digits? Maybe. Necessary to grow the top-line 5%/yr? No, definitely not.

A couple interesting things from the call:

"A couple of years ago, I asked our infra teams to put together ambitious plans to build out enough capacity to support not only our existing products but also enough buffer capacity for major new products as well. **And this has been the main driver of our increased capex spending over the past couple of years.** At this point, **we're no longer behind in building out our AI infrastructure**, and to the contrary we now have the capacity to do leading work in this space at scale. As these new models and use cases continue scaling, we're going to need to continue investing in infrastructure, although we'll have a better idea of the trajectory of that investment later in the year once we can gauge usage of some of the new products that we'll launch."

They don't need to build buffer capacity twice... I think the next leg in "the year of efficiency" is going to be lower capex moving forward.

"As we look forward, I also expect that we will modestly evolve our capital structure over time to improve our overall cost of capital. We expect to do so through periodically accessing the debt markets to diversify our funding sources while still maintaining a positive or neutral net cash balance over time."

Also sounds like they're going to run the balance sheet closer to neutral net cash.

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: No FCF - SBC next year?
Entry 04/27/2023 09:54 AM
Member BigbetBarmouth

Wrangler since you quoted me 2 quarters ago why don't you mention your hesitation and uncertainty around the investment at the time. When I asked where I am wrong with that assumption your answer was not costs will be lower and revenue will be higher. Your confidence seems to be building with hindsight- what are your assumptions for the business going forward in the next couple of years and where do you see fair value?

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: No FCF - SBC next year?
Entry 04/27/2023 10:26 AM
Member Wrangler

Bigbet,

What I actually traded on was this perspective (on 10/28), which turned out to be highly valuable (maybe I just got lucky...): "I'm a very long-term oriented investor, but even I am struggling with the decision to hold this in the short-term (which is probably bullish for sentiment) because the only possible catalysts are (1) they bring in spending much more than the guidance or (2) the ad market and/or FB specific capex investments cause revenue to surprise meaningfully to the upside. I feel there's a pretty good shot at (1), and think (2) is unlikely. But either way, none of that will be known through year-end, which makes this an amazing target for tax loss harvesting right now. No catalysts and a lot of investors sitting on 50-70% drawdowns, so it makes a lot of sense even if you want to hold to sell now, and buy back in 30 days. The risk that it moves up enough to offset the tax benefit of locking in losses now is pretty low."

In the few months after saying that (and before Zuckerberg took an axe to expenses), I churned nearly my entire position without wash sales (and selling and rebuying at basically the same price +/- a few pennies) locking in a very large tax loss. Now even though I'm not really up on the position, 50% of my current position (which is large) is unrealized gains that I will probably never recognize.

I also did express some disappointment in the level of metaverse spending and how that reduced the value of the investment from what I originally underwrote, which is still true, but I never changed my opinion on the value of the core business and never expressed any uncertainty about it. Here's what I said on 10/26:

"One day the operating leverage will work in the right direction with margins this slim and starting from a bad ad market. Unfortunately that one day keeps pushing out. Long story short, I'm a conflicted bull. Hearing the word "historic" a few times on one call to reference a \$16bn cash burn is hard. On the other hand, (1) maybe he'll be right; I can certainly imagine possible high value use cases and (2) more importantly, **the core business is worth multiples of this price.**"

As far as my assumption for the business going forward, I just laid them out in the post below. I think in 2023 they'll do \$18-20bn of FCF, I think that probably understates owner earnings by \$8bn/yr if maintenance capex is closer to \$20bn, and I think the -\$12bn for the Metaverse baked into that # shouldn't be capitalized at 20x earnings.

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: No FCF - SBC next year?
Entry 04/27/2023 11:42 AM
Member nychrg

tugger85, Mr. Market provided an unusually attractive opportunity to buy FB late '22 / early '23. Stock has doubled YTD so easiest money has been made. I'd argue we're still in the middle innings of company reducing cost, right sizing cap ex / op ex on other bets (like metaverse), and improving monetization on the platform. Zuck is competitive and he's got some religion now around moving his stock price in a positive direction, so he's likely to keep listening to investors. In the context of a hard, overpriced, confounding market, if you have to own equities FB doesn't seem like a terrible place to be albeit probably requires a constructive intermediate term view vs. the short term opportunity available past few months. I like what I see and staying the course here, and would add on material weakness, which means probably won't happen barring a market event.

Most importantly wondering which other CEOs out there see FB and will follow suite on major cost cutting / refocusing.

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: No FCF - SBC next year?
Entry 04/27/2023 12:44 PM
Member Wrangler

nychrg, I agree that we're in the middle innings (at least of *announced* right sizing of opex and capex).

Q1 run-rate expenses (ex-restructuring charges) were \$81bn. Subsequent to quarter end, they fired another 10,000 people and closed 5,000 open hiring positions. There's probably another \$2-4bn to strip out, maybe offset by increases elsewhere (and in reality labs... ugh). The mid-point of the guidance for expenses ex-restructuring charges is still at \$84bn.

Capex Q1 run-rate was \$28.4bn, guidance is \$30-33bn. And Mark is already talking about no longer being behind in building out the AI infrastructure.

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: No FCF - SBC next year?
Entry 04/27/2023 02:32 PM
Member nychrg

Wrangler, Zuck likely realizes he can pretty easily undershoot op-ex and cap-ex expectations via efficiency actions, which can keep juicing the stock. Self help potential here is powerful ... there remains a lot of fat to trim ... meanwhile expectations on the top line were low and results were a little better. They've now overlapped the Apple OIS shift, have a great balance sheet, and valuation compared to large cap growth peers remains fairly attractive. still one of the better stories but definitely a bet that Zuck stays the efficiency course rather than lapsing back to profligate behavior.

Subject 2024 and Beyond
Entry 12/28/2023 03:23 PM
Member nychrg

In a tough investment environment a lot went right for Meta this year. Stock is def not the value it was a year ago and sentiment has turned around from terrible to positive. It strikes me as a decent core holding, given some growth, good balance sheet, management remaining disciplined on cost, and monetization potential for assets that aren't producing yet. Zuck seems to have his mojo back. Valuation is a bit high but not obscene. Curious to hear what others think about Meta here?

Subject Re: 2024 and Beyond
Entry 12/28/2023 03:48 PM
Member WinBrun

you summed up well—if some of the changes are institutionalized—that is positive. one would also note that the business has been incredibly resilient in the face of consistent regulatory pressure, intense competition, major short-term changes (apple privacy changes), and challenged ad market. It is hard to think of many businesses where is such a stark disparity between the recurring headlines/fears/catastrophizing pundits—and actual customer behavior (both users and advertisers).

it is interesting to think about what would need to happen for Meta to trade at a higher multiple. There are dominant consumer businesses with less growth, more competition, less profitability, that trade at structurally higher P/E multiples. one explanation would be the uncertainty around the long-term with Meta and the specific risk that a network effect business faces—both rational. But, Meta at 20x growing EPS at low-to-mid teens still allow for an investor to make a really good return. But, I do wonder if there could be changes or improvements in the business that would support a higher multiple. one of them most knowable would be well above consensus growth in messaging—at a scale that would actually move the needle. AI as a means to improve the core advertising business in way that cannot easily be replicated could be another

Subject Re: 2024 and Beyond
Entry 12/28/2023 06:52 PM
Member Wrangler

nychrg, I still think this will produce returns that far exceed the index over the next decade or two from today's price. Some of this is copy and pasted from what I wrote on the other FB thread a couple of months ago, but:

Q2 22' - Reels was 20% of Instagram time spent and grew 30% on both FB & Instagram sequentially.

Q3 22' - Reels views grew 50% over the last 6 months. That implies 15% growth sequentially from Q2 22' to Q3 22' (to 140 billion daily plays).

Q2 23' - 200 billion daily plays. Compounded, that's 64% growth YoY since Q2 22' when they disclosed it was 20% of time spent on Instagram. So if you assume engagement on the core app grew with DAUs, implies it was ~28% of time spent on Instagram.

Q3 23' - "Reels has now driven more than 40% increase in time spent on Instagram since launch." My guess is it's around a third of time spent on Instagram now.

Yet when they say it's now "neutral" to revenue, they mean that Reels, despite being around a third of time spent on Instagram, is providing no benefit to the company because even though it adds engagement (which creates more opportunity for ads), it takes time away from Feed which monetizes at a much higher rate. So what they're saying is Reels has grown IG engagement by 40% with no revenue benefit. I expect them to make significant progress closing that gap over the next year or two and I don't think the stock is currently priced for the tailwind that Reels is going to become; or for the option value of messaging / Reality Labs; or simply for the quality of the business and the long runway to continue to leverage the cost structure.

On 23' #'s, the core business, despite being up ~4x from the bottom, is still "only" priced at ~26x EV/FCF valuing Reality Labs at *negative* \$120 billion (10x FCF impact). Probably more like ~21x TTM FCF using an estimate for maintenance capex. And that doesn't include the benefit of the forthcoming Reels tailwind described above.

From the commentary on the last call, I think the discipline around cost is likely to stick, particularly when you consider Marks comments about headcount goals for 2025 and beyond.

Subject	wrangler-Q
Entry	07/17/2024 11:01 AM
Member	WinBrun

Wrangler-will preface this by saying it is almost always a mistake to a) game investments based on changing political tides; and b) stocks that have gone up a lot may be a little more subject to changes in near-term sentiment and c) what the company will earn is what matters

--but I have a conceptual question--

It seems that the shifting momentum to Trump, the Vance Pick, and some of Trump's public comments regarding Tik-Tok, Taiwan, and not liking Facebook are affecting the price action of "big tech"-

Meta--(along with all Big Tech (such a lazy term)) have laid out very ambitious cap-ex plans regarding AI-infrastructure build which invariably relies on access to chips. If there is a shift in U.S. policy regarding Taiwan--do you think that has to alter the cap-ex plans?

What is somewhat interesting is that if there is any overhang/concern on Meta (and probably the others) it is partly due to the large expected capital spending plans--when AI hype in full effect--it is seen as an offensive and an advantage--when doubts about demand emerge--there is a worry about capacity utilization and cost--neither was likely to affect the plans to invest

I wonder if and how a change in policy and leadership could affect these plans and if yes, how it potentially affects the stocks. You could see more measured investment and higher free cash flow--given a more cautious approach

Subject	Re: wrangler-Q
Entry	07/17/2024 06:21 PM
Member	Wrangler

WinBrun, I don't really have any opinions on politics as it relates to FB. I would just be guessing. On the one hand, restrictions that make it difficult to get chips could have the positive effect you mentioned, on the other hand, odds are restrictions would just make it more expensive to get chips (not difficult) and then maybe Mark pushes ahead anyways with his capex plans but at higher cost?

On a long enough time horizon, I doubt politics has any meaningful effect on FB's intrinsic value (except for potential privacy regulations that limit ad targeting).

Subject anyone have deep thoughts here?
Entry 03/27/2026 05:20 PM
Member Cries

New headline; new selloff.

11.0x trailing ex-RL EBITDA, growing both revenue and EBITDA by 25%+ organically & seemingly accelerating. One of the few megacap techs not going FCF-negative this coming year.

Seems pretty good?

Subject Re: anyone have deep thoughts here?
Entry 03/27/2026 07:50 PM
Member singletrack

when is the sell side going to start getting the phone calls from IR that their depreciation expense is looking low in their models?

From some of the models I've looked at the for the capex bingers, it looks like depreciation is too low looking out a year or two.

Free cash flow positive is the new capital light!

Subject Re: anyone have deep thoughts here?
Entry 03/28/2026 10:37 AM
Member thrive25

Genuinely curious how others are thinking about it the news and price action on META this week.

Is this truly "just a headline", or does it start to chip away at the longer-term thesis?

The recent rulings (finding Meta liable/negligent around platform harms) don't just raise the question of one-time settlements, but potentially something more structural: does this open the door to product-level constraints that could impair engagement or ad efficiency over time?

What always made Meta feel somewhat "bulletproof" to me—especially relative to other megacaps—was the durability of the ads engine (FB/IG) as a high-ROIC annuity, with AI arguably enhancing monetization. That's why it feels like a much safer investment vs. something like Microsoft, where parts of the core franchise feel increasingly "too hard" to underwrite in an AI-disrupted world.

But if legal outcomes begin to force changes in how META operates (content, targeting, engagement loops), is that the first real risk to that underlying annuity?

Put differently:

- Is this primarily a litigation/settlement overhang (finite, modelable), or
- The early innings of something more akin to a tobacco-style regulatory arc that ultimately alters the product economics?

This risk has been "known" for years, and I've probably dismissed it too easily. Curious how others are thinking about it now; especially whether anyone is explicitly underwriting a downside case where engagement or ad efficiency structurally degrades.

Subject Re: Re: anyone have deep thoughts here?
Entry 03/28/2026 05:31 PM
Member Wrangler

thrive,

Caveat on the below: I am not a lawyer, and would love feedback on this from any of the lawyers on here...

There is going to be a long path of appeals, and I think reasonably high odds that Meta prevails. I'm sure they will consider a variety of evidentiary appeals specific to this case, but the two possibilities to get this to the Supreme Court and get the entire class of similar claims dismissed are:

Section 230 - Meta will certainly argue that the distinction between content and design, in this case, is a legal fiction and the Judge should not have instructed the jury to treat the content as separable from the delivery. They will argue that infinite scroll and autoplay don't cause harm independent of content. If the design only causes harm because it delivers the content, then the lawsuit is fundamentally about content. Under Section 230, platforms cannot be held liable for how they curate or present third-party speech. I'm not a lawyer, but I think they have a very strong argument that the "defective design" itself could not possibly have caused the alleged harm. Imagine if the plaintiff was addicted to 16 hours/day of videos of puppies. Would any reasonable person believe that led to body dysmorphia? It's obvious that the chain of effect the plaintiff relies upon is defective design → consumption of too much content → harm... not defective design → harm. Even if you use the plaintiffs slot machine analogy, and believe the design of Instagram causes addiction, addiction is not itself an injury that requires compensation. If I'm addicted to watching videos of puppies, or watching self-improvement videos, or watching videos of golf tips, that wouldn't cause me harm. Addiction itself is not harmful, what you are addicted to can be harmful or beneficial.

First Amendment - They're going to argue the verdict "directly target(s) Meta's protected expressive activity—its choices about how to organize and present third-party speech—and would force Meta to alter the ways in which it curates and organizes content." That's what they argued to Judge Kuhl. But she said "the allegedly addictive features of Defendants' platforms (such as endless scroll) cannot be analogized to how a publisher chooses to make a compilation of information..." But the opposite of "endless scroll" is "limited scroll"; limited scroll would be a clear restriction on the publisher's ability to present speech to its audience. Notifications are also Meta's own speech, so should be protected. And if the algorithm itself is considered a "defective product design", in *Moody v. NetChoice* Kagan in the majority opinion wrote "Presenting a curated and 'edited compilation of third party speech' is itself protected speech."

You asked, "But if legal outcomes begin to force changes in how META operates (content, targeting, engagement loops), is that the first real risk to that underlying annuity?"

I don't think there are going to be any meaningful changes to the business. They'll probably need to get stricter about children's accounts, but they already don't make much on children's accounts.

TikTok had/has all the same problems, but with the added potential of being used by the CCP to force feed American youth propaganda and look how hard it was to convince legislators to do anything... Legislatively telling the entire population they are too stupid to be trusted with the apps they use 2 hours/day is deeply unpopular. The alleged product design "defects" are autoplay and infinite scroll. I think banning infinite scroll would so obviously violate the First Amendment that I don't think it's worth considering. And can you imagine the uproar if Congress passed a law that you must manually click play to get a video to start in your feed?

I think Meta is an incredible bargain at this price for anybody with patience and the stomach for more headline risk.